

Early retirement offers

Some companies reduce the number of staff by offering an attractive early retirement package. However, an early retirement package is rarely as valuable in terms of total dollars as continuing to earn a full-time salary. A retirement planner can assist a client in this situation by assessing the true costs and benefits of this package.

- Will the client lose pension benefits?
- What will happen if the client rejects the offer?
- Will accepting the offer affect the client's CPP/OAS benefits?
- Will it require the client to begin drawing on his retirement savings earlier than expected?
- Will the client still continue to receive extended health care benefits?
- Can the client get another job and still receive benefits?

Retiring prior to normal retirement age

Although the normal retirement age under the Canada Pension Plan is 65, an eligible recipient may choose to begin receiving payments at age 60. A retirement planner can assist a client who is considering this option by calculating what the benefits are likely to be under both scenarios. Similarly, a client may be considering retiring before the normal retirement age specified by his or her pension plan. A retirement planner can advise the client of the impact this would have on his or her lifetime retirement income.

Life annuity vs. registered retirement income fund

Taxpayers with assets held within an RRSP must deregister the plan by the end of the year in which the taxpayer turns 71 years of age. Common options upon deregistration include using RRSP funds to purchase an annuity or transferring the funds to a registered retirement income fund (RRIF). A retirement planner can assist a client who faces this decision by explaining the advantages and disadvantages of each alternative, including the income stream to expect from each.

Pension benefits upon termination of employment

If an individual's job is terminated, he or she may still be entitled to receive some benefit from his or her pension plan. Upon termination, the client will have to decide whether to leave the vested pension benefits in the pension plan or transfer the money to a locked-in retirement account. A retirement planner could compare the advantages and disadvantages of each option.

Life annuity vs. guaranteed investment certificates

An aging individual who has a lump sum of cash may be trying to decide whether to invest that money in GICs or use the money to purchase an annuity. A retirement planner could provide advice regarding the advantages and disadvantages of each option.

CPP Retirement Pension

Welcome to the lesson, CPP Retirement Pension.

CPP Survivor and Disability Benefits

Welcome to the lesson, CPP Survivor and Disability Benefits.

Eligibility for Survivor Benefits

While the primary benefit offered under the Canada Pension Plan is obviously a monthly retirement pension, the program also offers supplemental benefits to eligible contributors and family members in the form of CPP survivor benefits and CPP disability benefits.

CPP survivor benefits

CPP survivor benefits consist of the death benefit, the survivor's pension and the orphan's or children's benefit. Survivor benefits are payable to the survivors of a deceased CPP contributor provided the deceased contributor made CPP contributions for the minimum qualifying period calculated as the *lesser* of:

- one-third of the total number of years included within his or her contributory period (excluding from the calculation of that contributory period any month in a year after the year in which he or she reaches 65 years of age and for which his or her pensionable earnings were equal to or less than the basic exemption for that year), but in no case for less than three years *and*
- ten calendar years
- Death Benefit
 - The lump sum death benefit was introduced to help the families of deceased contributors deal with funeral expenses. However, the benefit can be used for any purpose.
 - The amount of the CPP death benefit is a single, lump sum payment of \$2,500. Eligibility requires the deceased to have made contributions to the CPP for at least one-third of the calendar years in their contributory period (no less than 3 calendar years) or for a minimum of 10 calendar years.
 - Contributors who do not have survivors and never collected CPP payments can receive a \$5,000 death benefit instead of the standard \$2,500 which all other eligible contributors receive.
 - According to the legislation, the death benefit is payable to the estate of the deceased. In practice, it is often paid directly to the surviving spouse or common-law partner or other surviving relative in charge of the final expenses of the deceased. The beneficiary must file a formal application, which must include a copy of the death certificate, in order to receive this benefit.
 - Most Canadians are unaware of the availability of the CPP death benefit, and every year the death benefit is paid to only a small fraction of all eligible deaths.
- Survivor's Pension
 - An individual, who at the time of death, was the legal spouse or common-law partner of a deceased CPP contributor and who also meets the minimum eligibility qualifications, may be eligible for a survivor's pension.
 - For purposes of the CPP, a spouse refers to an individual to whom you are legally married. A common-law partner refers to an individual—regardless of sex—with whom you live in a conjugal relationship for at least one year.

- The value of the pension and the timing of pension payments depend on the age of the surviving spouse or common-law partner, his or her personal CPP retirement or disability benefits and whether or not the survivor has dependents.
- Click this icon for an overview of CPP survivor entitlements.



- A survivor's pension is not impacted if the surviving spouse remarries or enters into a common-law relationship. Similarly, benefits will continue to be paid to a surviving common-law partner even if he or she gets married or enters into a new common-law relationship.
- A legal spouse who was separated from the contributor at the time of the contributor's death, may be entitled to a survivor's pension provided the contributor is not survived by a common-law partner with whom the contributor cohabited.
- A same-sex common-law partner may also be eligible for CPP survivor benefits provided his or her deceased partner contributed to the CPP for the minimum qualifying period.
- Note: The Québec Pension Plan differs somewhat in the flat rate component of survivor's pensions, and the age brackets are also further subdivided between ages 45 to 54, and 55 to 64.
- Click [here](#) to view current and historical benefit rates and limits according to Service Canada.

- Orphan's Benefit

- An orphan of a deceased CPP contributor may receive a monthly children's benefit up to 18 years of age, and up to 25 years of age if he or she is enrolled full-time in an approved educational institution. Children under 25 and enrolled part-time in a recognized post secondary institution can receive a partial monthly benefit. A child refers to a natural or adopted child of the deceased contributor or a child in the care and control of the deceased contributor at the time of death.
- The surviving spouse or common-law partner of a deceased contributor may receive the equivalent of the orphan's benefit for each eligible dependent child.
 - Orphan's benefits are suspended if the child reaches 18 years of age and is not in school full-time, apart from normal vacations or brief absences. However, benefits may be reinstated without retroactivity if a child over 18 years of age returns to school full-time. The marriage of a child does not interrupt payment of the benefit, provided all of the other eligibility requirements are maintained.
- The CPP and QPP orphan's pension is a flat monthly rate, indexed annually by the Consumer Price Index. The benefit for 2024 is a flat rate of \$294.12 per month, adjusted annually. Applications should be made as soon as possible to avoid losing benefits, with back payments available for up to 12 months. A child may receive up to two flat rate pensions if both parents were contributors and are either deceased or disabled.
- Click [here](#) to view current and historical orphan's benefit rates.

- Disability Benefits

- Contributors who become disabled may be eligible to receive a disability pension. Their children may also be eligible to receive a Disabled Contributor's Child's Pension.

- *Eligibility for disability pensions*

- Under the Canada Pension Plan, a person is considered to be disabled only if he or she suffers from a prolonged and severe medical impairment of a physical or mental nature, such that he or she is medically incapable of regularly pursuing any substantially gainful employment. The disabled qualification must be supported by medical evidence.

- Disability benefits are payable only if the contributor has made contributions for at least four of the last six calendar years or have contributed for a minimum of 25 years including three of the last 6 years.
 - The maximum CPP basic disability payment amount for 2024 is \$583.32. However, the total amount a beneficiary can receive is adjusted based on their contributions to the CPP. The maximum monthly CPP disability payment amount for 2024 is \$1,607. Additionally, dependent children of beneficiaries may also be eligible for a monthly children's benefit of \$294. These amounts are indexed annually.
 - Eligibility requirements for a disabled pension under the Québec Pension Plan are slightly more flexible for persons aged 60 and over.
 - A person applying for a disability pension must supply Service Canada with information regarding his or her disability and may be required to undergo a special medical examination. Furthermore, once benefits commence, he or she may be required to undergo periodic reassessment and rehabilitation as a condition for continued receipt of these payments.
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- Pension for a Disabled Contributor
 - The monthly disability pension consists of a flat rate component + 75% of the contributor's retirement pension, to a combined yearly maximum. The maximum disability benefit is greater than the maximum retirement benefit.
 - *Combined with retirement benefits*
 - At age 65, the disability pension is automatically converted to a retirement pension.
 - A contributor aged 60 to 64 cannot receive both a retirement pension and a disability pension. If a person who has commenced his or her retirement pension between these ages subsequently becomes disabled, he or she can no longer apply for cancellation of his or her retirement pension and apply for a disability pension instead.
 - *Combined with survivor's benefits*
 - A disabled contributor may receive both a disability benefit and a survivor's benefit. If the disabled survivor is under age 65, he or she will receive the larger of the disability and survivor's flat rate portions. In addition, any earnings-related benefits may be added together, but their total cannot exceed 75% of the maximum retirement pension payable for the year. The total amount of the combined survivor/disability pension cannot exceed the maximum disability benefit for the year.
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- Pension for the Children of a Disabled Contributor
 - A child of a disabled contributor may receive a monthly pension up to 18 years of age, and up to 25 years of age if he or she is enrolled full-time in an approved educational institution, provided his or her disabled parent contributed to CPP for the minimum qualifying period.
 - The flat rate pension for children of a disabled contributor is the same as the orphan's benefit, under both the CPP and the QPP. Provisions for receiving up to two flat-rate benefits, for returning to school after 18 years of age, and for remarriage are the same as those for the orphan's benefit.
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- Indexing of CPP Benefits
 - All CPP benefits are fully indexed annually by the Pension Index, which is the average of the changes of the annual Consumer Price Indices for each of 12 consecutive, 12-month periods, ending with October of the preceding year.

- To see how rates and benefits are indexed annually, click [here](#) to view current and historical maximum CPP rates and benefits as per Service Canada.
- Tax Treatment of CPP Benefits and Contributions
- All benefits received under either the Canada or Québec Pension Plans are taxable income to the beneficiary.
- Employers can deduct their contributions as a business expense. CPP contributions do not reduce amounts otherwise permitted as contributions under registered pension plans or RRSPs.
- Employee contributions must be separated into two parts for tax purposes. The base amount of 4.95% along with the first level CPP contributions of 1% for a total of 5.95% are reported in Box 16 of the T4 slip. Any second level CPP contributions made will be reported in Box 16 (A) of the T4 slip.
- Employees can claim a 15% non-refundable tax credit for the base contributions and a tax deduction for the enhanced contributions (i.e. on first level and second level contributions).
- For self-employed individuals, half of their CPP contributions are considered their employee portion; the other half is considered their employer portion. Therefore, the employer portion of the base contribution amount of 4.95% can be claimed as a 15% non-refundable tax credit and the employer portion can be claimed as a tax deduction. The enhanced contributions (both employee and employer portion) can also be claimed as a tax deduction.
- **Example** Alberto is self-employed. His combined marginal tax rate (MTR) is 45%. He lives in a province with a conversion rate for provincial tax credits of 9.80%; the federal conversion rate is 15%. Assume the YMPE is \$68,500, the YAMPE is \$73,200, the YBE is \$3,500 and the employer and employee CPP contribution rates are both 5.95% (comprised of a basic rate of 4.95% and an additional contribution rate of 1% to the Enhanced CPP).
- Alberto's net business income this year will be \$92,000. The first level maximum employee contribution for the year will be \$3,867.50 calculated as $[(\text{the lesser of pensionable earnings and YMPE}) - \text{YBE}] \times \text{contribution rate for employees}$ or $[(\text{the lesser of } \$92,000 \text{ and } \$68,500) - \$3,500] \times 5.95\%$. The matching employer contribution will also be \$3,867.50.
- As a self-employed individual, Alberto will make total first level CPP contributions in the amount of \$7,735 calculated as (employee contribution + employer contribution) or $(\$3,867.50 + \$3,867.50)$.
- Since Alberto's net business income exceeds the YAMPE, he must make second level CPP contributions for this year of \$376 calculated as $[(\text{lesser of self-employment earnings and YAMPE}) - \text{YMPE}] \times \text{2nd level earnings contribution rate for self-employed}$ or $[(\$73,200 - \$68,500) \times 8\%]$.
- Alberto's total CPP contributions as a self-employed individual are \$8,111 calculated as [Total first level contributions (11.90%) and Total second level contributions (8.00%)] or $(\$7,735.00 + \$376.00)$.
- The basic contribution of Alberto's employee portion is \$3,217.50 calculated as $[(\text{lesser of pensionable earnings and YMPE}) - \text{YBE}] \times \text{basic CPP contribution rate}$ or $[(\text{lesser of } \$92,000 \text{ and } \$68,500) - \$3,500] \times 4.95\%$. A tax credit can be claimed on this amount and will provide Alberto with \$797.94 of tax relief calculated as $[\text{employee contribution subject to basic CPP rate} \times (\text{federal conversion rate} + \text{provincial conversion rate})]$ or $[\$3,217.50 \times (15\% + 9.80\%)]$.
- The additional contribution Alberto made for the Enhanced Canada Pension Plan amounts to \$1,300 calculated as $[(\text{lesser of pensionable earnings and YMPE}) - \text{YBE}] \times \text{enhanced CPP contribution rate}$ or $[(\text{lesser of } \$92,000 \text{ and } \$68,500) - \$3,500] \times 2\%$. A tax deduction can be claimed on this amount and will provide Alberto with \$585 of tax relief calculated as $(\text{employee contribution subject to enhanced CPP rate} \times \text{MTR})$ or $(\$1,300 \times 45\%)$.
- Alberto can also claim a business deduction in the amount of \$3,217.50 on the employer portion of his basic CPP contribution calculated as $[(\text{the lesser of net self-employment pensionable$

earnings and YMPE) – YBE) x contribution rate for employers] or [((the lesser of \$92,000 and \$68,500) – \$3,500) x 4.95%]. Based on an MTR of 45%, Alberto will receive a tax reduction of \$1,447.88 calculated as (employer contribution x MTR) or (\$3,217.50 x 45%).

- Alberto can also claim the total second level CPP contributions as a tax deduction in the amount of \$376. He will receive a tax reduction of \$169.20 calculated as (second level CPP contributions x MTR) or (\$376 x 45%).
- In total, Alberto will receive tax relief amounting to \$3,000.02, calculated as (tax credit on employee portion of basic CPP + tax deduction on enhanced portion of employee portion + tax deduction on employer portion + tax deduction on second level CPP) or (\$797.94 + \$585.00 + \$1,447.88 + \$169.20) for the CPP contributions he has made for the year.

- Old Age Security Pension
- Welcome to the lesson, Old Age Security Pension.

- Program Overview

- The OAS program is operated by the federal government in accordance with the *Old Age Security Act*. It is essentially a public assistance program, meaning that recipients of the benefits do not contribute directly to the cost of providing the benefits. Instead, society as a whole bears the responsibility for covering the costs through federal income taxes. The pensions provided under the Old Age Security Act are funded directly out of the Consolidated Revenue Fund of the federal government.
- Currently, a flat rate, monthly OAS pension is payable commencing at age 65; it is adjusted quarterly to match changes in the Consumer Price Index.
- The Old Age Security Act recognizes same-sex and opposite-sex, common-law partners. A widow includes a widower and means a person whose spouse or common-law partner has died and who has not thereafter become the spouse or common-law partner of another person.
- *Applying for benefits and proactive enrollment*
- As of 2013, Service Canada implemented a proactive enrollment process whereby seniors may be automatically registered to begin receiving their OAS benefits immediately upon the age of eligibility. Proactive enrollment eliminates the need for many seniors to formally apply to receive their OAS pension. Individuals who are eligible for this service are notified by mail the month after they turn 64 years of age.
- Seniors who are ineligible for proactive enrollment must continue to submit a paper application to Service Canada. It is recommended that applications be made six months prior to the desired benefit start date. If the application is made after the senior reaches age 65, the application may be approved retroactively to age 65, up to a period of no greater than 11 months from the date the application is received.

- OAS Benefits

- OAS benefits consist of a flat-rate, monthly amount payable to eligible seniors beginning at age 65. Different amounts are payable for seniors between age 65 and age 74 and for individuals aged 75 and over.
- Benefits are adjusted quarterly based on changes in the Consumer Price Index. Approximately 5.8 million individuals receive OAS benefits. Click [here](#) to view current and historical OAS pension rates on the Service Canada Web site.

- *Changes to the OAS Program under Budget 2012 and Budget 2016*
- With a view towards making the Old Age Security Program more sustainable and more flexible, the Government of Canada introduced significant changes to the OAS Program under Budget 2012.
- Between 2023 and 2029, it was proposed that the age of eligibility for the OAS pension and the Guaranteed Income Supplement (GIS) would gradually be increased from age 65 to age 67. This change would have impacted individuals who were born in 1958 or later. To facilitate a smooth transition, a six-year phase-in period would have seen the age of eligibility increase by one month each quarter effective April 1, 2023.
- However, following the election of a new Liberal government, Budget 2016 essentially cancelled the provisions to increase the age of eligibility for OAS and GIS benefits and restored it to age 65.
- *Voluntary deferral of the OAS pension*
- Effective June, 2013, seniors can choose to defer the commencement of their OAS benefit for a maximum of five years beyond their year of eligibility. In exchange for a later start to their payments, seniors receive an enhanced monthly benefit that will be increased by 0.6% per month of deferral (i.e. 7.2% for a full year of deferral). Other than quarterly adjustments for inflation, this enhanced monthly benefit will be in force for the remainder of the senior's life.
- The voluntary deferral is available between age 65 and age 70.
- Clearly, the deferral option presents a planning opportunity and should only be selected after relevant calculations and various scenarios have been considered. This said, deferring the commencement of OAS benefits may be advantageous to seniors who are projected to have a long-life expectancy (based on their own health and their family health history), seniors who remain in the workforce and/or seniors who have other financial resources and income streams to fund lifestyle expenses.

Basic Eligibility

Seniors can qualify for a full pension after 40 years of residency in Canada after age 18. If they do not qualify for a full pension, they may be eligible for a partial or pro-rated pension after a minimum of ten years of residency in Canada after age 18.

Example Harvey, who has lived in Canada for ten years after age 18, would be eligible to receive 25% of a full pension, calculated as $(10 \div 40)$.

Example Jacques recently turned 65 years of age. He first moved to Canada at age 25. He remained in Canada for eight years before moving to Brazil. He then returned to Canada and has lived here for the past 12 years.

Jacques is eligible to receive 50% of a full pension, calculated as $[(8 + 12) \div 40]$.

There are two sets of eligibility rules for OAS benefits based on whether you live in or outside of Canada.

Living in Canada

- Aged 65 or older
- Lived in Canada for last 10 years after reaching age 18
- Lived in Canada and are a Canadian citizen or legal resident when the application for OAS was approved

Living Outside Canada

- Aged 65 or older
- Lived in Canada for last 20 years after reaching age 18
- Must be a Canadian citizen or legal resident of Canada before they leave Canada

Time Outside Canada - considered Canadian Residency

Canadians working outside Canada for Canadian employers, such as the Canadian Armed Forces and banks, may have their time working abroad count as residence in Canada. To qualify this time working abroad as residence, they must have either:

- returned to Canada within 6 months of ending employment
- turned 65 years old while still employed and maintained residence in Canada during their time outside of Canada

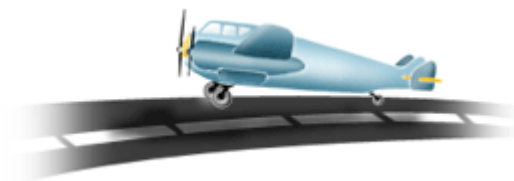
Canadians who lived or worked in a country that has a Social Security agreement with Canada may be able to count those years they lived abroad or contributed to another country to qualify for the OAS pension whether it is to meet the eligibility years for living in Canada (10 years after age 18) or outside of Canada (20 years after age 18). However, they will not receive credit for those years they lived or contributed outside of Canada. Also, some agreements limit the periods that can count towards eligibility for an OAS pension.

Example Jumanji, age 65 lived in Canada for 7 years but also lived in a country that Canada has a Social Security agreement with for 3 years. They meet the 10 year residency requirement for OAS (7 years + 3 years). However, they will only get a prorated pension equal to 7/40ths of a full OAS pension. They will not receive credit for the 3 years they lived outside of Canada.

Absence from Canada After an OAS Pension Commences

Provided that you have lived in Canada for at least 20 years after reaching 18 years of age, OAS payments will continue even if you leave Canada.

However, if you are receiving OAS benefits and do not meet this 20-year residency requirement and then subsequently leave Canada, payment for any period after six consecutive months, exclusive of the month you left Canada, may be suspended. Payment will resume in the month you return to Canada.



Tax Treatment of OAS Benefits

Benefits received under the OAS program are taxable income to the recipient.

OAS Recovery Tax (Clawback)

A special recovery tax or clawback requires the repayment of OAS benefits by high income earners. The OAS *clawback threshold* is the net income amount above which, the recipient must begin repaying their benefits; if the individual's net income is below this threshold, any OAS benefits received can be kept by the senior and need not be repaid. The threshold is based on the individual's net world income.

The OAS clawback threshold is indexed annually to reflect changes in the CPI. For 2024, the OAS clawback threshold is \$90,997. This amount includes OAS benefits received.

The OAS clawback rate of 15% is the rate at which net income in excess of the OAS clawback threshold is subject to repayment. In other words, those subject to the clawback will repay benefits at a rate of \$0.15 for every dollar of net income above the threshold amount to a maximum equivalent to the entire OAS benefit.

Calculating the OAS Recovery Tax

The amount that must be repaid as an OAS Recovery Tax is based on the difference between the senior's base income and the OAS threshold amount for the year. The first step is to figure out how much higher the individual's net income is than the threshold. The repayment amount is 15% of that amount.

$$\text{total year's OAS repayment} = (\text{income} - \text{OAS threshold}) \times (\text{OAS clawback rate})$$

Example Michel's net world income for this year is \$105,000. Based on an OAS threshold of \$90,997, Michel will incur a clawback of his OAS benefits in the amount of \$2,100.45, calculated as [(net world income - OAS threshold) x OAS clawback rate] or [(\$105,000 - \$90,997) x 15%].

Income level cut-off

When an individual's net income is above the OAS threshold, benefits will be clawed back at a rate of 15%. If an individual is receiving the maximum OAS benefit and this entire amount must be paid as a Recovery Tax, it means the individual's net income exceeds the *income level cut-off* for the year.

The income level cut-off is based on the age of the senior.

For 2024, the income level cut-off for individuals between age 65 and 74 is \$148,065; for individuals aged 75 and over, the income level cut-off is \$153,771.

Mechanics of the clawback

The OAS benefit paid each month is reduced by a clawback based on the net income reported by the individual on his or her tax return for the previous year. Thus, the OAS benefit is reduced before it is sent out, rather than being taxed back after it is received. In addition, non-resident recipients of OAS benefits are required to file a statement of worldwide income and they are subject to the clawback if this income exceeds the OAS clawback threshold.

Even though the monthly reduction in the payment of OAS benefits is based upon the recipient's net income as reported on his or her tax return for the previous year, the total amount of the clawback owed is based upon the recipient's income in the year that he or she receives the benefit. Therefore, an OAS recipient may wind up repaying an additional amount if his or her income increases from what was reported for the previous year. Conversely, the individual may end up receiving an OAS benefit if his or her income decreases.

Guaranteed Income Supplement (GIS) and Allowance Benefits

Welcome to the lesson, Guaranteed Income Supplement (GIS) and Allowance Benefits.

Guaranteed Income Supplement

Overview

The Guaranteed Income Supplement (GIS) is a monthly benefit that may be payable to a low-income earning senior over and above the Old Age Security benefits he or she is already receiving. While GIS benefits must be *reported* for tax purposes, these payments are effectively tax-free. The GIS benefit can prove to be a valuable income supplement particularly to seniors who immigrate to Canada relatively late in life and thereby, cannot accumulate the requisite 40 years of residency in this country prior to age 65 to receive a full OAS pension. Approximately, 1.9 million seniors receive the GIS benefit.

GIS benefits are payable to Canadian residents only. After six consecutive months of non-residency, payments are suspended. Subject to the earnings test, the payment of the GIS benefit may be reinstated once the individual resumes his or her Canadian residency however, payments missed while the senior was absent from Canada are not repaid.

GIS benefits

To qualify for GIS benefits, in addition to being a Canadian resident receiving either a partial or a full OAS benefit, the senior, or in the case of a couple, the senior and his or her spouse or common-law partner, must also satisfy an earnings test. Given that the GIS is income tested, individuals must apply for benefits on an annual basis by filing an income statement or an income tax return. GIS benefits are adjusted to the Consumer Price Index on a quarterly basis.

For purposes of the GIS earnings test, the income of the senior is calculated in the same manner as calculating the senior's net income on his or her income tax return with one notable exception: OAS benefits are excluded from the calculation. For a couple, the cumulative net income of *both* individuals is taken into account.

As applicable, the senior can reduce his or her net income by claiming an employment or self-employment earnings exemption to a maximum of \$5,000. A further partial exemption of 50% on up to \$10,000 of annual employment and self-employment income can also be claimed by each GIS or Allowance recipient as well as their spouse. Effectively, each person can claim an employment and self-employment exemption of up to \$10,000.

Canada Pension Plan and Employment Insurance premiums paid by the individual can also be deducted from employment income. It is important to note that this exemption applies specifically to employment earnings; it does not apply to other types of income the senior may have such as investment income.

Provided the net income of the senior (or the cumulative net income of the couple) does not exceed the clawback threshold, the senior will keep his or her entire GIS entitlement. Where the net income of the senior exceeds the clawback threshold, he or she will be required to repay part of his or her GIS benefits. If the net income of the senior exceeds the income level cutoff, it essentially means the net income of the senior is too high and he or she is not entitled to receive any GIS benefits—accordingly, 100% of the benefits received must be repaid.

Single Individual

With respect to the GIS, a single pensioner refers to an individual who is not part of a married or common-law couple. This would include widowed, divorced and separated persons. The GIS rate for a single individual is higher than the rate for a married or common-law couple however, since both individuals in a couple will receive benefits, the combined payment for a married or common-law couple will be higher than for a single individual.

Clawback for single individuals

For a single individual, the maximum monthly supplement is reduced by \$1 for every \$2 of the pensioner's base income. Keep in mind, base income excludes OAS benefits and, if applicable, includes an employment earnings exemption. GIS payments are clawed back in their entirety if the base income of a single individual exceeds the income level cut-off for the year.

From January to March 2024, the maximum GIS benefit payable for a single pensioner is \$1,065.47. The income level cut-off for the year is \$21,624.

Example Trent is a single pensioner with annual employment income of \$2,400. If the maximum GIS amount for this year is \$12,785.64 (i.e. \$1,065.47 per month), Trent is entitled to receive the full benefit. His benefits will not be subject to a clawback because Trent's employment income is below the \$5,000 threshold.

Example Jenna is a single pensioner with an annual employment income of \$13,000. Jenna can claim an earnings exemption of \$9,000 calculated as [basic employment earnings or self-employment earnings exemption + (((greater of employment earnings or self-employment earnings and basic employment earnings or self-employment earnings exemption) - basic employment earnings or self-employment earnings exemption) x 50%)] or [\$5,000 + (((greater of \$13,000 and \$5,000) - \$5,000) x 50%)].

She is entitled to the year's maximum GIS amount of \$12,785.64 however, \$2,000 of her GIS benefits will be clawed back calculated as [(base income – earnings exemption) ÷ 2] or [((\$13,000 - \$9,000) ÷ 2]. Jenna will receive net GIS benefits in the amount of \$10,785.64 calculated as (GIS benefit – clawback) or (\$12,785.64 – \$2,000).

Spouses and Common-law Partners

Relative to their single counterparts, different GIS payment and clawback rates apply to legally married couples and common-law partner couples where both individuals in the relationship are pensioners.

Clawback for married and common-law partner couples

If both spouses or common-law partners in a couple are receiving the Old Age Security pension, the maximum monthly supplement of each pensioner will be reduced by \$1 for every \$4 of their other combined base income.

From January to March 2024, a person with a spouse or common-law partner who also receives an OAS pension or an Allowance would receive a maximum of \$641.35 per month in GIS benefits. The income level cut-off for an individual with a spouse or common-law partner collecting OAS benefits is \$28,560 (combined income). If the spouse or common-law partner is an Allowance recipient, the GIS income level cut-off is \$39,984 (combined income).

A couple receives more GIS benefits in total than a single pensioner or a pensioner with a spouse or common-law partner who is a non-pensioner but, not twice as much. This policy reflects the belief that couples have some shared expenses.

Married and common-law partner couples with only one pensioner

For couples in which only one spouse or common-law partner is a pensioner and the other individual does not receive either the basic Old Age Security pension or the Allowance, the pensioner can receive the Guaranteed Income Supplement at the higher rate ordinarily payable to single individuals however, the clawback rate for couples will apply. To wit, the maximum monthly supplement will be reduced by \$1 for every \$4 of the combined base income of the couple.

From January to March 2024, a GIS recipient with a spouse or common-law partner who does not receive either OAS benefits or the Allowance is entitled to a maximum monthly supplement of \$1,065.47 (i.e. the same rate payable to a single individual). The income level cut-off for a person in this category is \$51,840 (combined income).

The Allowance

Additional supplements to ensure retired Canadians do not live in poverty are the Allowance and the Allowance for the Survivor. These benefits are intended to help low income individuals meet their lifestyle expenditures until they become eligible to receive Old Age Security benefits at age 65. As these are income-tested benefits, both payments must be applied for on an annual basis (typically, by filing an income tax return). Benefits are indexed for changes in the cost of living quarterly.

The Allowance and the Allowance for the Survivor are meant to assist seniors living in Canada. Accordingly, if a senior is absent from Canada for more than six consecutive months, his or her payments will be suspended until he or she reinstates their residency in Canada.

The Allowance

The Allowance is payable to low income seniors (subject to an income test) whose spouse or common-law partner receives or is eligible to receive the Guaranteed Income Supplement. Approximately 75,000 Canadians receive Allowance benefits.

Under this program, the pensioner will qualify for benefits provided he or she:

- i. is between 60 and 64 years of age

- ii. is a Canadian citizen or a legal resident of Canada as of the date the application for benefits was approved
- iii. has lived in Canada for a minimum of 10 years after age 18 (taking into account reciprocal agreements with other countries)
- iv. has an annual net income that does not exceed the clawback threshold (the base income for this test is based on the cumulative net income of the pensioner *and* his or her spouse or common-law partner); the income test *excludes* Old Age Security payments and the Guaranteed Income Supplement
- v. has not been divorced or voluntarily separated from his or her spouse or common-law partner for more than three months

The Allowance is paid until the senior becomes eligible for Old Age Security benefits and the Guaranteed Income Supplement.

Spouse or Common-law Partner

For 2024, the maximum monthly GIS benefit for an individual with a spouse or common-law partner who is a pensioner or an Allowance recipient is \$641.35. The maximum monthly OAS benefit is \$713.34 for a senior between age 65 and 74 and \$784.67 per month for pensioners age 75 and older. A spouse or common-law partner under age 65, but at least age 60, can receive a maximum of \$1,354.69 per month as an Allowance. The monthly Allowance benefit is equivalent to the maximum monthly GIS benefit plus the maximum monthly OAS benefit calculated as (\$641.35 + \$713.34).

The clawback is \$3 per month for every \$4 of a couple's base income, up to $\frac{4}{3}$ of the amount of the Old Age Security pension. Above that amount, the clawback is \$1 for every \$4 of the couple's base income.

Allowance for the Survivor

Subject to the eligibility requirements for the Allowance, the Allowance for the Survivor benefit is payable to a senior if his or her spouse or common-law partner is deceased and the senior has not remarried or entered into a new common-law relationship for more than 12 months. For same-sex couples, an individual may be eligible for benefits if his or her partner died on or after January 1, 1998 and the individual has not remarried or entered into a new common-law relationship for more than 12 months.

The Allowance for the Survivor is based on the previous year's income of the applicant. The Allowance for the Survivor payment is larger than the regular Allowance benefit. This benefit is designed for surviving spouses or common-law partners age 60 to 64 providing them with financial support until they become eligible for Old Age Security at age 65. Payment of the Survivor's Allowance is terminated before age 65 if the recipient dies or remarries.

For the first quarter of 2024, the maximum Allowance benefit for a survivor is \$1,614.89 per month.

The clawback is \$3 per month for every \$4 of a widowed person's base income, up to $\frac{4}{3}$ of the amount of the Old Age Security pension. Above that amount, the clawback is \$1 for every \$2 of base income.

Summary of Rates

The table summarizes the OAS, GIS, and Allowance benefit rates as of the first quarter of 2024.

	Monthly	Annual	Income Level Cut-off
Old Age security			
Maximum monthly benefits age 65 - 74	\$713.34	\$8,560.08	\$148,065
Maximum monthly benefits age 75 and over	\$784.67	\$9,416.04	\$153,771
Guaranteed Income Supplement			
Maximum monthly benefits:			
Single individual	\$1,065.47	\$12,785.64	\$21,624
Spouse/Common-law Partner of:			
a non-pensioner	\$1,065.47	\$12,785.64	\$51,840
a pensioner	\$641.35	\$7,696.20	\$28,560
an Allowance recipient	\$641.35	\$7,696.20	\$39,984
The Allowance			
Maximum monthly benefits:			
Regular Allowance	\$1,354.69	\$16,256.28	\$39,984
Allowance for Survivor	\$1,614.89	\$19,378.68	\$29,112

Click [here](#) to view current and historical benefit rates on the Service Canada Web site.

Tax Treatment of GIS Benefits and the Allowance

While the GIS and the Allowance must be reported as part of a recipient's total income, these amounts are subsequently deducted in the calculation of taxable income, making them effectively tax exempt. They are included in the calculation of total income for the purpose of determining if the recipient can be claimed as a dependent by another taxpayer.

Review

Let's look at the concepts covered in this unit:

- Fundamentals of Retirement
- Relationships
- Client Engagement Skills
- Retirement Planning Process
- CPP Retirement Pension
- CPP Survivor and Disability Benefits
- Old Age Security Pension
- Guaranteed Income Supplement (GIS) and Allowance Benefits

You should now have a good understanding of Retirement Planning and Government Income Programs concepts and when you are ready, you can complete the formal assessment.

Formal Assessment

Now that you have completed Retirement Planning and Government Income Programs, you are ready to assess your knowledge.

You will be asked a series of questions. When you have finished answering the questions, click Submit to see your score.

When you are ready to start, click the Go to Assessment link.

Note: Once you submit your answers to the assessment questions for grading, you will no longer be able to view the questions and the possible responses in their original format (you will only see the feedback for each question). If you want to use the assessment questions for study purposes at a later date, print the questions *before* you submit them for grading.

[Go to Assessment](#)

Module 8

Employer-sponsored Pension Plans

Welcome to the unit, Employer-sponsored Pension Plans.

After completing this unit, you will be familiar with the following concepts:

- Foundations of Pension Plans
- Defined Contribution (DC) Pension Plans
- Defined Benefit (DB) Pension Plans
- Defined Benefit RPP Case Study
- Distribution Options
- Deferred Profit-Sharing Plans (DPSPs)

Foundations of Pension Plans

Welcome to the lesson, Foundations of Pension Plans.

Rules and Regulations

Although most of the provinces have similar rules, there are enough differences to make matters complicated for the administrators of pension plans that support employees in a number of provinces. It also makes it difficult for financial advisors with clients in more than one province, or with clients who work for a national corporation and who are members of a pension plan that is governed by the pension legislation of the province where the company's head office is located. Furthermore, the rules are always changing, often with one or two provinces leading the way, and the remaining provinces eventually adopting similar changes.

Pension plans that have been organized and administered for the benefit of employees, in any province, who perform service in connection with any federal works, undertakings, or businesses that are within the legislative authority of Parliament are governed by the federal Pension Benefits Standards Act (PBSA). This includes employees working in air transportation, railways, banks, Crown corporations, radio stations, and so on. The PBSA also covers employees in the Yukon, Nunavut and Northwest Territories. Employees of the federal government are not covered by the PBSA.

Some of the more common rules defined by pension legislation are described on the following pages. The description of pension rules and regulations draws heavily on the PBSA, although significant differences among the provinces are noted.

Documentation

Pension plans rely on a number of documents including:

Plan text: A document that specifies the mechanics of the pension plan, including its benefits, contributions, membership eligibility, and conditions.

Trust agreement for a trustee plan: Almost always a separate document that authorizes trustees to collect contributions, make investments, etc.

Insurance contract for an insured plan: The contract includes a funding policy that explains how the plan will be funded.

Non-technical explanatory materials: Written information provided to plan members that explains the plan's terms and conditions, rights and duties of plan members, and other information such as annual statements.

Administration

The administrator of a pension plan may be the employer, or an administrative board or committee. Also, administration can be handled with joint representation of the employer and the employee's union. The administrator maintains the employee records and operates the plan.

A trustee plan is a fund established according to the terms of a trust agreement between the employer or plan sponsor, and an individual or corporate trustee. The trustee is responsible for the administration of the fund and/or the investment of the monies. The employer is responsible for the adequacy of the fund to

pay the promised benefits. Alternatively, an insured plan is a pension plan funded through an investment contract with an insurance company.

Age Eligibility

Although the various provincial or federal pension benefits acts do not prohibit eligibility requirements based upon age, the provincial and federal employment standards acts do. Therefore, a minimum or maximum age for joining the plan is not permitted.

Eligibility

No employer is required to set up a pension plan for employees. However, if an employer does choose to operate a pension plan, then according to the PBSA, all full-time employees belonging to the class of employees for which the plan was intended must be permitted to join the plan after two years of continuous service.

Most jurisdictions also specify that part-time employees be eligible to join the plan after two years of consecutive service, provided that their annual earnings are at least 35% of the YMPE each year for two consecutive years. A few jurisdictions provide the optional qualification for part-time employees who have at least 700 hours of service each year for two consecutive years. One province makes membership compulsory for any employees who have access to an employer-sponsored pension plan.

Gender Discrimination

All other factors being equal, it costs more to provide pensions for women than for men. Women have lower mortality rates and longer life expectancies. However, most jurisdictions prohibit any form of discrimination in terms of eligibility, contributions and benefits related to gender.

Even though it costs the employer more to provide the same level of pension benefits for a female employee than a male employee, the employer may not require the female to make higher contributions than her male counterpart. Furthermore, the employer cannot provide the female with a lower level of pension benefits. Either the employer can make higher contributions on behalf of the female employee or the actuarial valuations can be based on unisex, averaged mortality tables.

Vesting

Vesting refers to the point in time when RPP contributions made by the employer become the property of the employee such that the employee has the right to receive the benefit of those contributions even following termination of employment prior to retirement. Once employer contributions have vested with the employee, they legally belong to the employee and must be used to provide him or her with a retirement income. The earned benefit entitlements are referred to as *vested benefits*.

The importance of vesting is twofold. Firstly, because the retirement pension is a form of deferred compensation for the services provided by the employee, he or she should be entitled to it after meeting certain conditions. Secondly, employees should not be penalized for having employment with several employers over their career and they should be guaranteed portability of their benefits.

In contributory plans, employees automatically and immediately have a vested right to their own contributions, along with interest accumulated on those contributions. However, under contingent vesting

provisions, employees cannot take their contributions out of the fund if they also want the contributions of their employer to vest with them.

Previous federal legislation provided for the vesting of employer contributions once the employee had reached age 45 and had 10 years of service or plan membership (the 45 and 10 rule). Some jurisdictions still follow the '45 and 10' rule or have not changed it retroactively; other jurisdictions have vesting periods as long as five years. In most provinces vesting also automatically occurs when the member reaches normal retirement age, or when the plan is terminated.

Currently, federal plans call for the immediate vesting of all pension credits accruing after January 1, 1987 and two years of participation for locking-in.

Prior to 1987	After 1986
Vesting after age 45 and 10 years of service	Immediate vesting

Many union-negotiated, non-contributory plans provide for graded vesting. This enables employees to change their jobs without losing all of their vested rights if they have not yet met the full vesting requirements. Thus, employees in a '45 and 10' plan with five years of service may be eligible for a portion of their vested rights.

Locking-in

Pension legislation specifies that after a period of time as a member of a plan, both the employee and employer contributions are 'locked-in'. This means the contributions can no longer be taken out of the pension fund in a lump sum and must be used to provide a lifetime retirement income stream to the member. Pension benefits must commence no later than the end of the year in which the plan member turns 71 years of age.

The locking-in provision applies to contributions made by both the employee and the employer. However, it usually does not apply to any additional voluntary contributions made by the employee.

The timelines for the vesting and locking-in provisions do not necessarily coincide. For example, federal plans call for the immediate vesting of pension benefits whereas locking-in does not take place until the member has participated in the plan for at least two years.

Normal Retirement Age (NRA)

The Normal Retirement Age is defined as the age at which a member is permitted to retire and receive full, unreduced retirement benefits. There are a few exceptions to the locking-in rule, in cases where an employee is terminated prior to the NRA, as follows:

- A portion of the funds may be distributed during a breakdown in marriage.
- The pension benefits may be commuted (that is, converted to a single sum that represents the present value of all future payments) if the life expectancy of the annuitant is significantly reduced due to illness or disability.
- Employee contributions that were voluntary in nature (such as those used to purchase past service pension credits or to upgrade current service credits) may be refunded.
- All employee contributions may be refunded if the member terminates employment prior to meeting the vesting qualifications.

- Up to a maximum of 25% of the commuted value of benefits earned prior to 1987 (that is, the calculated present value) of the pension may be paid in cash if the pension legislation and the plan allow it.
- The anticipated pension benefits may be commuted to cash if the expected annuity payments are relatively small (less than 2% of the YMPE).
- An employee's contributions made prior to the qualification date, which is the date that the particular provincial pension legislation or regulation entered into force may be refunded. In other words, the provisions of the legislation will not apply retroactively.

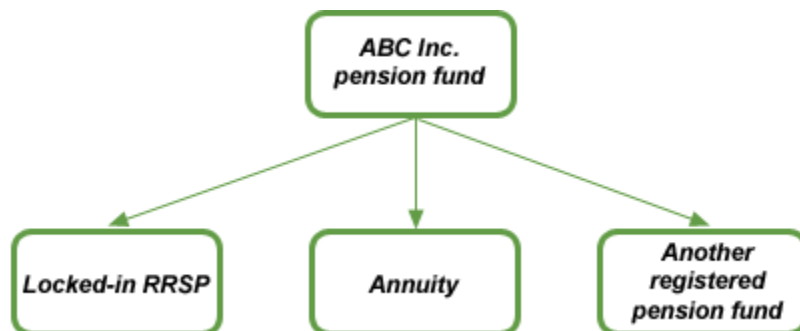
Portability

A major shortcoming of the pension system has been that employees who changed jobs were often prevented from taking their pension entitlements with them. Pension reforms have sought to overcome this drawback by supporting the concept of portability.

Portability refers to the ability to transfer pension credits to another pension plan or to a locked-in RRSP when the employee changes jobs. This does not violate the locked-in provisions of the original pension because the funds must still be used to provide a life income. Under the provisions of the federal Pension Benefits Standards Act, if a member ceases to be a member or dies before becoming eligible to retire, the member or the surviving spouse or common-law partner is entitled to:

- retain the vested benefits within the pension fund, for provision of a pension at retirement
- transfer the vested benefits to another registered pension plan, if the plan permits
- transfer the vested benefits to a locked-in RRSP, which is an RRSP from which the release of funds is prohibited, by pension legislation, unless the release is in the form of a retirement income
- transfer the benefits to an insurance company of his or her choosing, to be used to purchase an immediate or deferred annuity

In all jurisdictions, upon termination of employment, the portability of the commuted value must be offered up to the age the member becomes eligible for early retirement (usually age 55). If the portability option is exercised, the funds must be transferred to a prescribed locked-in retirement arrangement.



Example Alexis has been employed by Trillium Enterprises (TE) for the past five years, and has been a member of TE's defined benefit pension plan, which had a 2-year vesting period for the duration of her employment. She has decided to leave TE so that she can relocate closer to her aging parents.

She has contributed a total of \$15,000 to the pension plan, and her employer has paid a similar amount. Together with interest, the commuted value of her total pension entitlement is \$40,000. Upon her termination from TE, Alexis may choose to:

- leave these funds in the pension fund to provide her with a pension at retirement
- transfer the value of her existing pension to the RPP of her new employer, if that plan permits
- transfer the money to a locked-in RRSP
- transfer the funds to her insurance company to purchase a deferred annuity

Alexis' husband, Ralph, is also leaving TE, where he has worked for about 18 months. He has contributed a total of \$4,500 to the pension fund, and TE has contributed a similar amount on his behalf. The commuted value of his pension entitlement is about \$9,500. However, because Ralph has not met TE's vesting requirement, he has no right to his employer's contributions. He is only entitled to receive a cash refund of his contributions of \$4,500, plus interest.

Most jurisdictions have similar portability provisions, although they may differ in the permitted time frame for transfers.

Minimum Employer Contributions

Most jurisdictions specify that the employer must contribute at least 50% of the cost of the pension benefits accrued by each employee after a qualification date specified in the legislation of each jurisdiction. The PBSA provides an exemption to the 50% rule for defined benefit plans that provide indexing of benefits at a rate at least equivalent to 75% of (CPI less 1%).

When a member of a defined benefit pension plan retires or terminates his or her employment, the plan administrator must compare the total contributions of the employee plus interest with the commuted value of the pension benefits accrued after the qualification date. If the employee has contributed more than 50%, the employee is entitled to either an increased pension or a refund of contributions, depending on the province.

Minimum Interest on Employee Contributions

For the purpose of determining the value of accrued pensions, either for the evaluation of the 50% rule or for determining the value of benefits accrued by a terminated employee, most jurisdictions specify a minimum interest rate to be used in the calculations.

Survivor's Benefits

As pensions are a form of deferred compensation, legislation typically requires that the beneficiaries of the member or his or her estate receive, at a minimum, a refund of the contributions made by the member in the event of his or her death. The extent of the survivor benefits depends on whether death occurs before or after retirement. Many employers offer life insurance instead of building pre-retirement survivor benefits into their pension plan.

Post-retirement deaths: All jurisdictions in Canada require retirement pensions to be paid as a joint-and-last survivor annuity if the pensioner has a spouse or common-law partner. Under the joint-and-last survivor annuity, a pension continues to be payable after the death of either spouse or common-law partner however, the benefit paid to the surviving spouse is reduced to 60% of the initial pension. All jurisdictions also permit the survivor benefit to be waived if both the member and the spouse or common-law partner sign a prescribed form before the commencement of the pension. Single members receive a single life pension.

Pre-retirement deaths: Pre-retirement death benefits vary significantly from one jurisdiction to another and may also depend on whether the member was within early retirement age at the time of death as well as the marital status of the member.

For federally regulated plans, the *Pension Benefits Standards Act, 1985* stipulates that, at a minimum, 100% of the commuted value of the post-1986 accrued pension is payable to the surviving spouse or common-law partner. The funds can be transferred to a locked-in RRSP or used to purchase a deferred annuity. However, if the deceased was within his or her eligible early retirement period (usually beginning at age 55), the surviving spouse or common-law partner may receive an actuarially reduced pension of 60% of the monthly pension accrued by the date of death. If the member did not have a surviving spouse or common-law partner, the estate would receive a refund of the employee's contributions plus accumulated interest.

Remarriage: All jurisdictions in Canada prohibit the termination of a spouse's pension if the surviving spouse or common-law partner of a deceased plan member remarries or enters into a new common-law relationship.

Relationship Breakdown

In the event of marriage breakdown, under provincial family law legislation, the non-member spouse may be entitled to a share of the pension benefits accrued to the time of divorce. In the event of relationship breakdown, under provincial family law legislation, the non-member, common-law partner may be entitled to a share of the pension benefits accrued to the time of the relationship breakdown. The division of pension credits may be done by agreement or by court order, in accordance with provincial laws.

Early and Postponed Retirement

Early retirement

All jurisdictions in Canada require that members be eligible to receive an actuarially reduced pension if they opt for early retirement. Early retirement is typically specified as 10 years prior to the normal retirement age (age 55 based on an NRA of age 65) or at age 55 as a firm date in some provinces.

Postponed retirement

If a member chooses to continue to work after normal retirement age, most jurisdictions allow for membership in the pension plan to continue and additional credits to be earned. In federally regulated plans, membership in the RPP must continue unless the member is already receiving a pension.

integrations with Government Pensions

Some pension plans are integrated with the Canada Pension Plan or the Old Age Security System, so that members who retire prior to age 65 receive higher pension benefits in the early years of their retirement, until they reach age 65 when CPP and OAS benefits normally commence.

Indexation for Inflation

The greatest shortcoming of many pensions is the lack of indexation of retirement benefits for inflation. Some pension plans, particularly those in the public sector or with major corporations, provide annual payment increases to cover a portion or all of the increase in inflation as measured by the Consumer Price Index. The majority of pension plan beneficiaries have no such protection and can expect to see the 'real value' of their pension benefits shrink each year. The value of a pension will be reduced by 65% over a period of 20 years if inflation averages 5% per year.

In advising a client, who is a member of an RPP that is not fully indexed for inflation, you should account for the loss of purchasing power by determining any additional capital required at retirement to provide for the desired degree of inflation protection of retirement incomes.

Federally regulated plans permit voluntary indexing of deferred pensions that will result in increases of at least 75% of the CPI less 1% or any other formula approved by the Office of the Superintendent of Financial Institutions (OSFI).

Pension Plan Amendments

Employees should be aware that their employer can amend their plan or freeze the existing plan and start a new one.

Termination of Plans

The plan documentation must specify how the pension fund will be distributed if the plan is terminated. Employer contributions are irrevocable and on termination, both employer and employee contributions will usually be locked-in and must be transferred to another registered plan of the employee.

If the plan has a deficit and the money owed to the plan cannot be recovered from the employer (perhaps due to bankruptcy), benefit entitlements to plan members and beneficiaries may be reduced. If the plan has a surplus at the time of termination, the excess funds may be allocated in some form to the employer, members and beneficiaries based on a pre-determined arrangement.

Defined Contribution (DC) Pension Plans

Welcome to the lesson, Defined Contribution (DC) Pension Plans.

Nature of Defined Contribution Pension Plans

In a defined contribution pension plan, the contributions required from the employer and, in the case of a contributory plan, the contributions from the employee, are known up-front. However, the ultimate retirement benefit that will be received by the employee is unknown.

The contributions of the employer and employee are accumulated in a pension investment fund until the member retires. At that time, the contributions and any accumulated investment income are used to purchase a life annuity for the employee or are transferred to a life income fund (LIF), from which a retirement benefit can be drawn.

The value of the pension depends on what can be purchased by the accumulated contributions plus investment income. Hence, defined contribution plans are also commonly referred to as *money purchase plans*.



From the Employer's Viewpoint

Many employers prefer money purchase plans to defined benefit plans because they know in advance what their contributions—or from their perspective, their funding liability—will be. Conversely, with defined benefit plans, employers face the possibility that they will have to make additional contributions in the future if an actuary predicts that current pension funds are insufficient to pay the promised defined benefits.

For defined contribution plans, the employer does not run this risk of an *unfunded liability* — the pension benefits payable to an employee are based on whatever lifetime income stream can be purchased at retirement based on the funds accumulated.

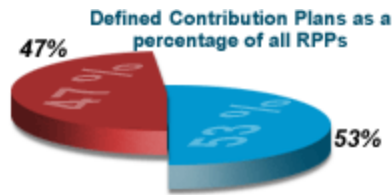


Example George, an employee of Walters Inc., earns \$50,000 per year. The company has a defined contribution pension plan to which the employee and employer each contribute 5% of the pensionable earnings of the employee.

Walters Inc. will contribute \$2,500, calculated as (pensionable earnings $\times$ employer's contribution rate) or ($\$50,000 \times 5\%$), to the RPP on behalf of George for this year of service and 5% each subsequent year.

Popularity of Defined Contribution Plans

Because of the cost control and ease of administration, defined contribution plans are a popular choice for small employers. The following graphs illustrate the frequency of defined contribution plans.



From the Employee's Viewpoint

Defined contribution pension plans may be less desirable from the viewpoint of an employee because, although he or she is guaranteed a pension, he or she has no guarantee of the amount of that pension. He or she has no control over the growth of the pension fund, and if the investments do poorly, less money will be available to purchase an annuity.

In addition, the cost of annuities may be unfavourable at the time of his or her retirement, further reducing his or her retirement income. To help offset this latter disadvantage, most jurisdictions permit the accumulated contributions to be transferred at retirement and at the discretion of the employee to a locked-in RRSP.



Example George will also have to contribute \$2,500, calculated as $(\$50,000 \times 5\%)$, to the RPP this year.

Accumulation of Pension Benefits

In defined benefit plans, later career earnings have a more pronounced effect on final pension benefits than early career earnings, particularly for final earnings plans, where the benefit formula is based on a percentage of final earnings for each year of service. In contrast, the early career earnings play a more significant role in defined contribution plans because these early contributions have a longer time to compound prior to retirement. The larger salaries that usually occur late in a career have less of an impact on pension entitlements because contributions on those salaries have less time to accumulate.

However, depending on investment performance, it may be possible to accumulate a higher level of pension benefits in a defined contribution plan. Contributions to defined benefit plans are limited to whatever is needed to provide the legislated maximum pension benefit per year of service. There are no such limitations on the maximum pension paid by a defined contribution plan.

Example George has \$48,362 in the RPP. If he were 65 years of age and retired today, he would receive a very small pension each month.

If he left Walters Inc., he could rollover the \$48,362 to a locked-in retirement account.

Gender Inequalities

The same level of contributions has the potential to result in a lower annual pension benefit for a female than a male with the same entry and retirement ages, due to the lower mortality of females. Because women tend to live longer than men, the annuity provider will likely have to make more payments to women pensioners, and thus the cost of the annuity is higher.

However, most jurisdictions now require the use of unisex mortality tables, which combine the mortality experience of males and females, so that identical contributions provide identical amounts of pension benefits, regardless of gender. As a result, a male beneficiary would be better off to rollover the RPP funds to a locked-in retirement account and later purchase an annuity based on male life expectancies, as long as this is permitted by provincial legislation. In some provinces, the Pension Act specifies that if the funds are transferred to a LIRA, any immediate or deferred annuity subsequently purchased with the funds shall not differentiate the amount based on the gender of the recipient.

Example If George retired now at age 65, he would have a life expectancy of 15.72 years. If he chose to take the pension, he would receive a pension based upon unisex mortality tables, that assume he is going to live a couple of years longer. This assumption will reduce his pension.

Contribution Levels

The contributions of the employer and the employee in a contributory plan are typically expressed as a percentage of salary, often in the neighbourhood of 5% each. However, the formula can be adapted easily to allow the employee a range within which he or she can choose the amount that he or she wants to contribute (for example, between 2% and 5%), with it being understood that the employer will make a matching contribution.

The maximum combined contribution for the employer and employee is the *lesser* of:

- 18% of earnings *and*
- the current money purchase contribution limit

The Income Tax Act requires the employer to make a minimum contribution of 1% in these plans.

Past Service Contributions

The defined contribution formula cannot be applied to provide past service benefits. Past service benefits can only be provided with a defined benefit formula. The pension entitlement for a defined benefit plan is based on a percentage of earnings per year of service, and there is thus the opportunity to purchase another unit of service. In the case of defined contribution plans, however, there are no units to purchase.

Example George did not join the pension plan until he had two years of service. Because he belongs to a defined contribution plan, he cannot apply for this past service and cannot ask his employer to make up these two years of contributions.

Projection of Pension Income

For those who are some years away from retirement, benefits under defined contribution pension plans can be projected using a financial calculator. The employer or plan administrator is not required to provide this information on the plan member's annual statement.

A number of variables must be specified before the calculations can be completed. These variables, and the resulting calculations, can be most easily presented in the form of a table.

Pensionable earnings and contribution rate

The contributions are based upon the pensionable earnings of the employee and the contribution rate of both the employer and the employee. In some plans, the contribution rates may be based upon the age of the employee and may change over the years prior to retirement.

Below is a projection of pension income for Amid Rabil. You will note that the combined employee and employer contributions is \$5,700, calculated as [(pensionable earnings × (employee + employer's contribution rates)] or [(\$38,000 × (7.5% + 7.5%))].

Projection of Retirement Income for Amid Rabil Based on Membership in Defined Contribution Pension Plan As at 31 December Last Year

	Amount
Current pensionable earnings	\$38,000
Projected annual increase in pensionable earnings	0%
Current age	45
Projected retirement age	60
Employer contribution rate	7.5%
Employee contribution rate	7.5%
Current funds accumulated in patrimony trust	\$23,000
Investment return in patrimony trust	8.0%
Projected value of accumulated funds at retirement	\$227,727

Retirement Income Options for Amid Rabil

	Amount
Option 1: Purchase an Annuity	
Age at which annuity payments begin	60
Accumulated funds to purchase annuity	\$227,727
Annual pension income per \$1,000 of savings	\$80
Annual pension income upon annuitization	\$18,218
Option 2: Transfer savings to RRSPs	
Age at which pension savings to be transferred	60
Accumulated savings available for transfer	\$227,727
Funds available for transfer to LIRA	\$195,844
Funds available for transfer to non-locked-in RRSP	\$31,883

Integration with CPP/QPP

Some plans have been designed to recognize that the employee and the employer are also contributing to the Canada or Québec Pension Plans. In principle, the pensionable earnings for the defined contribution pension plan would exclude the amount of Yearly Maximum Pensionable Earnings for the CPP/QPP. In practice, integration is usually accomplished by simply reducing the contributions by 3.6% of the YMPE.

This rate of 3.6% used to be the contribution rate to the CPP/QPP. The current rate is now much higher, but most plans are entrenched in the old rate.

Example Amid works for a university which has a defined contribution pension plan requiring employer and employee contributions of 7.5% of pensionable earnings. To keep the calculations manageable, we have assumed that neither his pensionable earnings nor the contribution rates will change. Also, the plan is not integrated with the Canada or Québec Pension Plans. These simplifications permit the calculations to be done with a financial calculator. Otherwise, financial planning computer software would be required. With the simplifications, it will only take a few minutes to calculate the projected savings at retirement.

Current Savings and Rate of Investment Return

The current savings in the defined contribution plan are integral in determining the ultimate retirement benefit. Based upon a specified investment return on these savings, the total projected value of the accumulated funds at the intended retirement age can be calculated.

Example Amid's current savings of \$23,000 plus the contributions made over the next 15 years will accumulate to \$227,727 at retirement, calculated by entering $P/Yr = 1$; $\times P/Yr = 15$; $I/Yr = 8\%$; $PV = -\$23,000$; $PMT = -\$5,700$; $MODE = END$ and solving for FV of an ordinary annuity.

Calculation of Pension Benefits

The funds accumulated in a defined contribution RPP on behalf of the employee are intended to provide the individual with a lifetime income stream upon retirement. Traditionally, this has been done by purchasing a life annuity with the entire amount at retirement or at some date after retirement, in which case it will be necessary to calculate how much the savings has grown to that point.

The annual pension income is determined by multiplying the current annuity rate (usually specified as \$X per \$1,000 of savings). The annuity may be indexed for inflation.

Alternatively, the employee can choose to transfer the savings to a locked-in retirement account (LIRA) or a life income fund. The savings calculation is based upon the time at which the transfer will be completed. It may be possible that some of the savings, if they arise from employee contributions made prior to the date of legislative changes (usually in the mid-to-late 1980s, depending on the province), can be transferred into a non-locked-in RRSP. If this is the case, the amount of total savings must be allocated between a locked-in and non-locked-in RRSP. It is preferable to have the savings in a non-locked-in RRSP because of the increased flexibility and accessibility to the funds.

Example Returning to the pension projection for Amid Rabil, based on the current annuity rate and a purchase at the time of retirement, Amid can purchase an annuity which pays \$80 per \$1,000 of savings. This results in an annual annuity payment of \$18,218, calculated as $(\text{capital} \times \text{rate per } \$1,000)$ or $[\$227,727 \times (\$80 \div \$1,000)]$.

Alternatively, Amid can transfer the savings to a LIRA. His employer would advise him as to how much of the savings can be transferred to a non-locked-in RRSP—in this case, it would be \$31,883.

*Projection of Retirement Income for Amid Rabil Based on Membership in
Defined Contribution Pension Plan As at 31 December Last Year*

	Amount
Current pensionable earnings	\$38,000
Projected annual increase in pensionable earnings	0%
Current age	45
Projected retirement age	60
Employer contribution rate	7.5%
Employee contribution rate	7.5%
Current funds accumulated in patrimony trust	\$23,000
Investment return in patrimony trust	8.0%
Projected value of accumulated funds at retirement	\$227,727

Retirement Income Options for Amid Rabil

	Amount
Option 1: Purchase an Annuity	
Age at which annuity payments begin	60
Accumulated funds to purchase annuity	\$227,727
Annual pension income per \$1,000 of savings	\$80
Annual pension income upon annuitization	\$18,218
Option 2: Transfer savings to RRSPs	

Age at which pension savings to be transferred	60
Accumulated savings available for transfer	\$227,727
Funds available for transfer to LIRA	\$195,844
Funds available for transfer to non-locked-in RRSP	\$31,883

Tax Treatment of Defined Contribution Plans

Contributions by an employer to a money purchase pension plan are tax deductible to the employer and are not considered to be taxable income for the employee. Employee contributions are tax deductible to the employee. Investment income earned on the pension fund is also tax-deferred during the accumulation period. However, payments from the fund are taxed in the hands of the recipient.

Maximum contributions

Contributions to a defined contribution pension plan are limited to the *lesser* of 18% of the employee's pensionable earnings and a money purchase limit specified by the Income Tax Act. The following table includes the money purchase limits since 1997.

Contribution Limits to a Defined Contribution Pension Plan

Year	Money Purchase Limit
1997 to 2002	\$13,500
2003	\$15,500
2004	\$16,500
2005	\$18,000
2006	\$19,000
2007	\$20,000
2008	\$21,000
2009	\$22,000
2010	\$22,450
2011	\$22,970
2012	\$23,820
2013	\$24,270
2014	\$24,930
2015	\$25,370
2016	\$26,010
2017	\$26,230
2018	\$26,500
2019	\$27,230

2020	\$27,830
2021	\$29,210
2022	\$30,780
2023	\$31,560
2024	\$32,490

Most defined contribution plans are based on combined employer/employee contributions in the range of 10% or less so, the limits above only tend to restrict high income earners.

Example Constance belongs to her employer's defined contribution pension plan, which requires employee contributions in the amount of 7% of her pensionable earnings. Her employer makes a matching contribution. Constance earns a base salary of \$210,000.

If the money purchase limit for the year is \$32,490, total contributions to Constance's pension plan are limited to \$32,490, calculated as [the *lesser* of 18% of pensionable earnings and the money purchase limit] or [the *lesser* of (\$210,000 × 18%) and \$32,490].

So, even though Constance's plan requires her to contribute 7% of her earnings, her contributions will be limited to \$16,245, calculated as (maximum cumulative employer/employee contribution × 50%) or (\$32,490 × 50%).

Contributions to a defined contribution pension plan will reduce the amount that the employee may contribute to an RRSP. The pension adjustment for a defined contribution pension plan is simply the total of employer and employee contributions for the year.

Defined Benefit (DB) Pension Plans

Welcome to the lesson, Defined Benefit (DB) Pension Plans.

Nature of Defined Benefit Pension Plans

A defined benefit pension plan is any plan that defines the amount of the pension benefit payable at retirement by a formula that relates the value of the pension benefits to earning levels and years of service.

The benefit is defined up-front. Employee contributions (if required) are usually set at a fixed percentage of employment earnings. The employer must then contribute sufficient money to ensure that the pensions of plan members are adequately funded.

Defined benefit plan membership

There is a notable difference in terms of the type of employer-sponsored pension plans to which Canadians belong. There has been a long-term, ongoing shift away from defined benefit plans to defined

contribution plans. This can be attributed to the high cost, high administration and the risk of unfunded liabilities inherent with defined benefit plans relative to defined contribution plans.

The Decline in the Proportion of Active RPP Members Covered by Defined Benefit Plans

In the 1980s, 90.00% of employees that were members of a pension plan were covered by a defined benefit plan. However, by 2014 those numbers had declined to 70.00%, and in 2015 membership in defined benefit plans had declined to 67.00%.

These statistics mark a significant and steady decline in defined benefit membership over the past 35 years

Click [here](#) to view the complete study of pensions in Canada by Statistics Canada.

Types of defined benefit plans

There are three basic types of defined benefit pension plans:

- career-average
- Final and best earnings
- flat benefit

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Types of defined benefit plans

There are three basic types of defined benefit pension plans:

- career-average
 - Final and best earnings
 - flat benefit
-
- Career-average Pension Plans

A career-average, defined benefit pension plan relates the amount of pension benefit payable at retirement to the average earnings over the career of the employee and the number of years of credited service. The employee earns a unit of pension during each year of employment that is usually expressed as a percentage (e.g. 1.5% or 2%) of his or her income for that year. His or her pension at retirement is the sum of all of the units accrued while he or she was a member of the pension plan.

Example Camille works for an employer who offers a career-average, defined benefit pension plan, with a 2% unit. Assuming that Camille earns a constant \$20,000 over the 25 years that she was enrolled in the pension plan, her annual pension entitlement at retirement would be \$10,000, calculated as [(pensionable earnings x unit percentage) × years of membership] or [(\$20,000 x 2%) × 25].

The earnings of the employee usually increase from year-to-year so, the value of each unit will change accordingly. The result is that the final pension can be expressed as the unit percentage of average earnings multiplied by the years of credited service.

Example Frank joined a career-average pension plan with a 1.5% unit just 5 years before retirement. When he first joined the pension plan, he earned \$40,000 per year; his salary increased by \$5,000 each year thereafter. His pension entitlement can be calculated as follows:

Unit 1 (year 1)	$\$40,000 \times 1.5\%$	\$600
Unit 2 (year 2)	$\$45,000 \times 1.5\%$	\$675
Unit 3 (year 3)	$\$50,000 \times 1.5\%$	\$750
Unit 4 (year 4)	$\$55,000 \times 1.5\%$	\$825
Unit 5 (year 5)	$\$60,000 \times 1.5\%$	\$900
Total annual pension entitlement		\$3,750

Alternatively, Frank's pension entitlement of \$3,750 can be calculated as [(average earnings × unit percentage) × years of credited service] or [(\$40,000 + \$45,000 + \$50,000 + \$55,000 + \$60,000) ÷ 5] × 1.5%] × 5].

A career-average pension plan does have serious drawbacks from the perspective of the employee. The eventual pension is based on average earnings over his or her entire career. This would include earnings in the early years of the employee's career that may be significantly outdated as a result of job promotions and inflation as time has passed. This could leave the employee with a low and unsatisfactory pension.

The following graphs illustrate the frequency of career-average plans.



Career-average Pension Plans

A career-average, defined benefit pension plan relates the amount of pension benefit payable at retirement to the average earnings over the career of the employee and the number of years of credited service. The employee earns a unit of pension during each year of employment that is usually expressed as a percentage (e.g. 1.5% or 2%) of his or her income for that year. His or her pension at retirement is the sum of all the units accrued while he or she was a member of the pension plan.

Example Camille works for an employer who offers a career-average, defined benefit pension plan, with a 2% unit. If Camille earns a constant \$20,000 over the 25 years that she was enrolled in the pension plan, her annual pension entitlement at retirement would be \$10,000, calculated as [pensionable earnings x unit percentage] × years of membership] or [\$20,000 x 2%) × 25].

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Alternatively, Frank's pension entitlement of \$3,750 can be calculated as [(average earnings × unit percentage) × years of credited service] or [(((\$40,000 + \$45,000 + \$50,000 + \$55,000 + \$60,000) ÷ 5) × 1.5%) × 5].

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The following graphs illustrate the frequency of career-average plans.



Final and Best-earnings Pension Plans

Final and best-earnings plans are also unit-based plans, where the ultimate pension entitlement is based on a unit percentage for every year of credited service. In final-earnings plans, the unit percentage is applied to the average of the final three-to-five years of service. In best-earnings plans, the unit percentage is applied to the average of the best three or five years of pensionable service. This could be the actual final three or final five years of service or an earlier period of service when the employee's best earnings were achieved.

Example Trevor is planning to retire at the end of this year. He has been a member of his employer's pension plan for the past 30 years. The plan is based on the best earnings over three consecutive years and a 2% unit. His salary increased each year, except for this year. His salary over the last five years was as follows:

4 years ago	\$55,000
3 years ago	\$60,000
2 years ago	\$60,000
last year	\$66,000
this year	\$58,000

If the plan is based on average earnings over three years and a 2% unit, Trevor's annual pension would be \$37,200, calculated as $[(\text{average best-earnings} \times \text{unit percentage}) \times \text{years of credited service}]$ or $[((\$60,000 + \$60,000 + \$66,000) \div 3) \times 2\% \times 30]$.

If the plan is based on final earnings over three years and a 2% unit, his annual pension would be \$36,800, calculated as $[(\text{average final-earnings} \times \text{unit percentage}) \times \text{years of credited service}]$ or $[((\$60,000 + \$66,000 + \$58,000) \div 3) \times 2\% \times 30]$.

The following graphs illustrate the frequency of final- and best-earnings plans.



Final- or best-earnings plans are favoured by large employers, including many municipal plans and school board plans.

Flat-benefit Pension Plans

Retiring members of a flat-benefit pension plan receive a flat-rate benefit, regardless of their earnings. However, the full benefit may only be available to those who have achieved a minimum number of years of service, such as 25 years; a proportionally reduced pension is paid to those with less service.

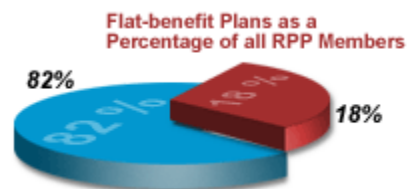
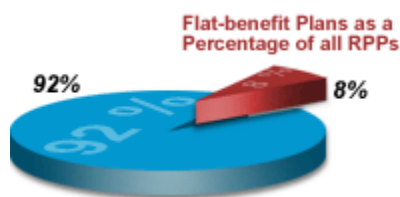
The flat-rate benefit may be expressed in different ways. Some plans offer a fixed amount, such as \$500 per month, to retiring employees with the required level of service and prorate that amount for employees with less service. Other plans provide a flat amount of pension per month, for every year of service.

Example Emilio's employer provides a flat-rate pension of \$500 per month to retiring employees with at least 25 years of service and a prorated pension for employees with less service. Emilio is retiring with 20 years of service so, his pension entitlement is \$400 per month, calculated as $[(\text{years of service} \div \text{base years of service}) \times \text{flat rate}]$ or $[(20 \div 25) \times \$500]$.

Example Nadia's employer provides a flat-rate pension of \$12 per month at retirement for every year of service; she is retiring after 30 years of service. Her monthly pension entitlement is \$360 per month, calculated as $(\text{flat rate} \times \text{years of service})$ or $(\$12 \times 30)$.

Flat-benefit pensions are commonly available to unionized employees, and the amount of the benefit is often the subject of union negotiations. Most flat-benefit plans are not contributory, and the employer pays the entire cost.

The following graphs illustrate the frequency of flat-benefit plans.

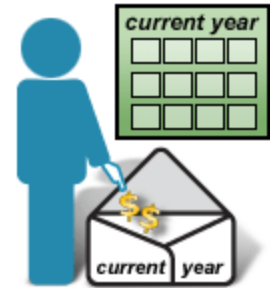


Employee Contributions

In most defined benefit pension plans, especially those in the public sector (that is, plans for government employees), the employee is required to make regular contributions to the pension fund. These types of pension plans are called contributory plans.

Current Service Contributions

The required contribution is usually specified as a percentage of current contributory earnings. Contributory earnings are the earnings subject to pension contributions and may not be the same as actual income or earned income as reported for income tax purposes. For example, overtime pay and bonuses are usually not considered to be contributory earnings.



An integrated pension plan is one that is designed to build upon the Canada or Québec Pension Plans. Most integrated plans call for stepped contributions to provide some relief for those earnings that are already subject to CPP/QPP contributions. In stepped plans, a lower contribution rate applies to earnings up to the year's maximum pensionable earnings (YMPE), while a higher rate applies to earnings above the YMPE.

$$\text{Employee Contribution} = \text{Contribution Rate on Amounts Up to Year's Maximum Pensionable Earnings} \times \text{YMPE} + \text{Contribution Rate on Amounts Above Year's Maximum Pensionable Earnings} \times (\text{earnings} - \text{YMPE})$$

In some integrated plans, the contributions are stepped but the ultimate pension benefits are not. In other cases, both the contributions and the benefits might be stepped.

Example Ruel is a member of a contributory best-earnings defined benefit plan. Assume Ruel's pensionable earnings are \$80,000 and the YMPE is \$66,600. The first contribution rate on amounts up to the YMPE is 7.0%; the second contribution rate on amounts above the YMPE is 8.5%.

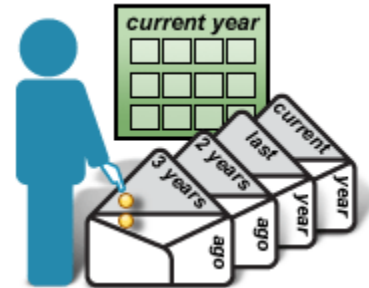
Contribution Rate on Amounts Up to Year's Maximum Pensionable Earnings	Contribution Rate on Amounts Above Year's Maximum Pensionable Earnings
7%	8.5%

Ruel's required contribution would be \$5,801.00, calculated as $[(\text{the lesser of pensionable earnings and YMPE}) \times 1^{\text{st}} \text{ contribution rate}] + ((\text{the greater of } \$0 \text{ and } (\text{pensionable earnings} - \text{YMPE})) \times 2^{\text{nd}} \text{ contribution rate})$ or $[(\text{the lesser of } \$80,000 \text{ and } \$66,600) \times 7\%] + ((\text{the greater of } \$0 \text{ and } (\$80,000 - \$66,600)) \times 8.5\%)$.

Past Service Contributions

Some defined benefit plans allow members to make extra contributions to purchase a pension for services that they provided in the past. There are a number of different scenarios that could allow a plan member with an opportunity to make past service contributions:

- Some plans require potential members to achieve a minimum number of years of employment (often 2 years) before they are permitted to join the plan. These plans often provide the new members with the option of purchasing pension credits for the service that they performed prior to becoming members of the plan.
- An employer may establish a new pension plan with pension benefits accruing from the time the plan is first established. These plans may provide existing employees with the opportunity to purchase pension credits for the service that they provided prior to the establishment of the pension plan.
- An employer may upgrade the benefits provided by the pension plan (for example, from a 1.5% plan to a 2% plan), with the upgrades applying only to future benefits. The employer may provide the plan member with an opportunity to make a past service contribution to upgrade previously earned pension credits to the same unit level.



Past service contributions may be paid in a lump sum or by installments. If the payment is by installments, interest may also be required, and this interest is also considered to be a past service contribution.

Example This year, Celine became a member of her employer's defined benefit RPP after completing one year of employment. The RPP allows her to buy back her service from last year. Celine's part of the cost to purchase this past service is \$4,100, which she can pay in a single lump sum this year or spread out in annual installments over a period of several years.

The Income Tax Act may restrict the extent to which an individual may purchase or upgrade past service credits, depending on his or her RRSP contribution room.

Employer Contribution Levels

Most defined benefit plans require both employee and employer contributions. The employee contributions are typically a fixed percentage of employment earnings, so the employee knows exactly how much he or she must contribute to the plan. He or she also knows how the value of his or her pension entitlement will be calculated at retirement.

By law, the employer must contribute sufficient money to the pension fund to ensure there will be enough money accumulated to fund future pension obligations. Actuarial evaluations substantiating the required level of contribution must be carried out every three years.

Predicting the value of future benefits requires actuarial projections and assumptions. An actuary will make a few actuarial assumptions regarding possible future trends. These assumptions will be based primarily on the knowledge of past trends concerning mortality, interest, expenses, and so on. The actuary also relies heavily on guidance from professional standards and the appropriate pension legislation.

The actuarial assumptions and calculations are usually applied to a group of people, not to a single plan member. The actuary tries to predict the average experiences of the group. The actual experience of individual plan members varies significantly. On the next page, we will describe some basic actuarial assumptions.

Basic Actuarial Assumptions

Basic actuarial assumptions that are used to calculate employee contributions and projected future benefits include:

- **Mortality** Actuaries use accepted mortality tables as a basis for estimating the probability of employees surviving to pensionable age, as well as the probable number of pension payments which a pensioner may, on average, expect to receive during his or her remaining lifetime. Rather than using mortality tables based on the population as a whole, an actuary tries to use a table that is related, to the greatest degree possible, to the characteristics of the particular members of the pension plan (gender, occupation or age at retirement).
- **Interest Rates** The actuary must make a conservative estimate of the investment return that can be expected on contributions to the pension plan after they are invested. The rate of return can dramatically affect the cost of the pension plan and the contributions required from the employer. As a guideline, a 0.25% increase in the rate of return above that estimated by the actuary could reduce the cost of the average pension plan by 5%. However, the reverse is also true: if the rate of return earned on the accumulating pension fund is overestimated by as little as 0.25%, the employer could be faced with a substantial unfunded liability.
- **Expenses** There are numerous administrative costs associated with maintaining a pension plan, including legal costs, actuarial services and staff time required to process new enrollments, maintain records, invest contributions and distribute benefits. The administrative expenses associated with an average-sized plan will account for at least 5% of the total cost of the plan and could be considerably higher depending on the complexity of the plan.
- **Other Assumptions** Some of the many other assumptions made in costing a pension plan include the future rate of employee turnover, the number of disability claims, the normal retirement age, the rate of early retirement, the rate of salary growth, integration with public pension plans and the marital status of employees.
- **Tax Treatment of Contributions**
- In general, contributions made to pension plans may be deducted in calculating the taxable income of the contributor—whether that is the employee or the employer—provided that the contributions are required by the terms of a registered, employer-sponsored plan. The plan must be approved by and registered with the Canada Revenue Agency (CRA) in order for contributions to be deductible. However, there are limits to the total amount that can be deducted.

Maximum Pension Benefits

According to the Income Tax Act, the maximum yearly pension that can be provided through a defined benefit plan and for which the contributions can be deducted for tax purposes by the employer and employee is the *lesser* of:

- a dollar limit of the maximum yearly pension x the number of years of pensionable service *and*
- a percentage limit of 2% of earnings per year of service

Since 2003, the dollar limit of the maximum yearly pension is calculated as the *greater* of:

- \$1,722.22 *and*
- $\frac{1}{9}$ of the money purchase limit for the year

Year	Money Purchase Limit	Maximum Yearly Pension
1997 to 2002	\$13,500	\$1,722.22
2003	\$15,500	\$1,722.22
2004	\$16,500	\$1,833
2005	\$18,000	\$2,000.00
2006	\$19,000	\$2,111.11
2007	\$20,000	\$2,222.22
2008	\$21,000	\$2,333.33
2009	\$22,000	\$2,444.44
2010	\$22,450	\$2,494.44
2011	\$22,970	\$2,552.22
2012	\$23,820	\$2,646.67
2013	\$24,270	\$2,696.67
2014	\$24,930	\$2,770.00
2015	\$25,370	\$2,818.89
2016	\$26,010	\$2,890.00
2017	\$26,230	\$2,914.44
2018	\$26,500	\$2,944.44
2019	\$27,230	\$3,025.55
2020	\$27,830	\$3,092.22
2021	\$29,210	\$3,245.56
2022	\$30,780	\$3,420.00
2023	\$31,560	\$3,506.67

2024	\$32,490	\$3,610.00
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Example Evan belongs to a defined benefit pension plan based on 2% per year of service. He currently has pensionable earnings of \$190,000 per year. If the dollar limit of the maximum yearly pension is \$3,610, Evan's maximum benefit entitlement for the current year of service will be \$3,610, calculated as [the *lesser* of the year's maximum dollar limit and (pensionable earnings $\times$ percentage limit)] or [the *lesser* of \$3,610 and ($\$190,000 \times 2\%$)]

With a defined benefit pension plan, the yearly benefit entitlement is usually calculated based on the plan's benefit rate, years of service and a measure of earnings. The formula the plan uses is described in the employee's pension plan booklet.

Example Eloise belongs to a defined benefit pension plan based on 1.5% per year of service. She currently earns a base salary of \$100,000 per year. This year, the legislated dollar limit of the maximum yearly pension per year of service is \$3,610.

Under the Income Tax Act, Eloise's maximum possible yearly pension is \$2,000, calculated as [the *lesser* of the year's maximum dollar limit and (pensionable earnings $\times$ percentage limit)] or [the *lesser* of \$3,610 and ($\$100,000 \times 2\%$)]. However, Eloise's plan only provides for 1.5% $\times$ earnings per year of service so, her benefit entitlement for this year is \$1,500, calculated as (pensionable earnings $\times$ plan's benefit rate per year of service) or ($\$100,000 \times 1.5\%$).

Benefits generally take the form of a life annuity which is purchased by the plan when the member retires. The annuity provides regular pension payments for the life of the plan member. Following the death of the plan member, the annuity must also provide a benefit of no less than 50% of the payment for his or her spouse on a joint and last survivor basis.

Comparison of Defined Benefit and Defined Contribution Pension Plans

There are significant differences between the two types of plans, as described below.

Amount of pension

The amount of pension provided by a defined benefit plan is known in advance, at least in terms of the formula that relates the benefit to earnings and years of service. In contrast, the pension that may be provided by the defined contribution plan depends entirely upon the investment returns and contributions.

The amount of pension provided by a defined benefit plan is restricted by legislation, to a dollar limit per years of service, indexed annually to changes in the average industrial wage. There is no restriction on the pension that may arise from a defined contribution plan - instead the contributions are limited to the money purchase limit. Thus, defined contribution plans have the potential to yield a larger pension, particularly if they are started at a young age and accumulate over a large number of years of service.

Investment risk

In a defined benefit plan, all of the investment risks lie with the employer. If investments do not perform as expected, the employer must increase its contributions to ensure that sufficient funds accumulate to meet future pension obligations. In contrast, all of the investment risks lie with employee for defined

contribution plans. The employer's obligation is limited to making a contribution. If the pension fund's investments do not perform as expected, the employee will have less funds at retirement.

Inflation

Defined contribution plans do not build in any protection for inflation, other than the fact that contributions are limited by the money purchase limit, which will eventually be indexed to reflect increases in the average industrial wage. In contrast, inflation protection can be built into defined benefit plans, although it will require higher contribution levels than a non-indexed, defined benefit plan.

Since 2006, both the money purchase limit for defined contribution plans and the maximum yearly pension for defined benefit plans have been indexed to changes in the average industrial wage as reported by Statistics Canada.

Conclusion

Here is a table with some additional features of defined contribution and defined benefit pension plans.

Comparisons	Defined Benefit Plans	Defined Contribution Plans
% of registered plans*	57.42%	37.54%
% of RPP members*	70.01%	17.54%
Amount of Pension	known in advance	depends on investment returns
Maximum amount of Pension	annual maximum per year of service	no maximum, depends on investment returns
Investment Risk	lies with employer	lies with employee
Inflation protection	can be built in with higher contribution levels	no built-in protection
Annuity income	Yes, an option	Yes, an option
Transfer to LIRA	Yes, an option	Yes, an option
Locked-in	Yes, with exceptions	Yes, with exceptions
Control	member determines how pension is paid	member determines how pension paid

Defined Benefit RPP Case Study

Welcome to the lesson, Defined Benefit RPP Case Study.

A Sample Defined Benefit Pension Statement



OMERS (Ontario Municipal Employees Retirement System) is one of the largest pension plans in Canada with 200,000 members. It is a contributory, defined benefit plan based on best-earnings over five consecutive years.

The plan provides a pension of 2% per year of service, of average pensionable earnings for the best five years of service reduced by a CPP offset of 0.7% of the average YMPE for the last three years of service.

Janet Doe is a 34-year old police officer with the City of Kingston in Ontario. In 2016, Jane marked her fifth year on the force; her salary was \$63,850. She is a member of OMERS.

Throughout this lesson you will work with information for Janet Doe. First you will look at her annual statement and later in this lesson, you will look at her Projection of Pension statement.

The statements are typical of those distributed by the administrators of defined benefit pension plans. Explanatory comments are also provided.

Click the icon to view Janet Doe's annual statement. We will describe the parts of this statement on the following pages.



Calculating Early Retirement Age

The first section of the annual statement provides basic information about the plan member—Janet Doe in this instance—and his or her employment status.

The OMERS pension plan operates with two normal retirement ages (NRA): age 65 for most members and age 60 for police officers and fire fighters. Members may also be eligible for an unreduced early retirement pension provided they are within 10 years of their NRA and either:

- their age plus years of qualifying service (the qualifying factor) is at least 90 for NRA 65 and 85 for NRA 60 *or*
- they have at least 30 years of qualifying service

Below is the formula for calculating the earliest retirement age for an unreduced pension.

The Qualifying Factor is QF

Earliest retirement age = ((age of joining the plan + QF) ÷ 2)

Where QF = Qualifying Factor.

Example According to her annual pension statement, Janet joined the City of Kingston police service 4 years and 9 months ago (i.e. 4.75 years), when she was 29 years and 5 months old or 29.4 years of age.

As a police officer, Janet belongs to the category of workers who qualify to retire with an unreduced retirement pension at a normal retirement age of 60 or, whenever her age is such that the qualifying factor equals 85.

The earliest age at which Janet can retire and still receive an unreduced retirement pension is 57 years and 2 months (i.e. 57.2 years), calculated as:

$$\begin{aligned}\text{earliest retirement age} &= [(\text{age at which Janet joined RPP} + \text{qualifying factor}) \div 2] \\ &= [(29.4 + 85) \div 2] \\ &= 57.2 \text{ years}\end{aligned}$$

Her unreduced early retirement date is January 31, 2040, in 23.12 years calculated as (early retirement age - current age) or (57.2 - 34.08).

Note: For Janet, her hire date and enrollment date into the OMERS pension plan are the same. This is not always the case, especially in situations where a part-time or temporary employee is upgraded to full-time, permanent status.

Janet's Pension Information for Last Year

Section 2 of Janet's annual statement (i.e. 'Your Information for Last Year as Supplied by Your Employer') provides information on Janet's contribution to her pension plan last year.

OMERS pensions are integrated with the Canada Pension Plan, such that a pensioner retiring prior to reaching age 65 receives a higher pension in his or her earlier years, until he or she reaches age 65 when his or her CPP benefits commence. Once the pensioner reaches age 65, his or her pension is reduced by a CPP offset amount. The contributions are also stepped, to reflect this integration.

Basic employee contributions to OMERS are shown in the following table:

Basic Employee Contributions to OMERS		
	Up to Year's Maximum Pensionable Earnings	Above Year's Maximum Pensionable Earnings
NRA 65	6%	7.5%
NRA 60	7%	8.5%

Example According to her statement, Janet's contributory earnings for the year were \$83,850 and her NRA is 60.

In 2024, based on a YMPE of \$68,500, Janet's contribution to the pension fund was \$6,099.75, calculated as $[(\text{YMPE} \times \text{contribution rate up to YMPE}) + ((\text{the greater of } \$0 \text{ and } (\text{pensionable earnings} - \text{YMPE})) \times$

contribution rate above YMPE)] or $[(\$68,500 \times 7\%) + ((\text{the greater of } \$0 \text{ and } (\$83,850 - \$68,500)) \times 8.5\%)]$.

Because Janet worked for the entire year, she accumulated 12 months of credited service.

Accumulated Contributions and Interest

Section 3 of Janet's pension statement (i.e. 'Accumulated Contributions and Interest') outlines her total contributions to date, along with the interest earned on those contributions. Janet has made only basic contributions, which are those payable for current pensionable earnings. Under the terms of the OMERS plan, some employees may make additional contributions for past service (supplementary service), or to cover periods of absence (broken service) from the plan due to temporary situations such as maternity leave. If Janet had purchased a period of broken service or made contributions to buy back past service, these contributions would be noted in this section.

Janet's statement shows both contributions and interest, even though OMERS is a defined benefit plan and her pension entitlement does not depend on the growth of the pension fund. This is to help Janet assess the value of her contributions in the event that she decides to terminate her employment.

However, Janet's statement also indicates that her contributions are locked-in, meaning that if her employment is terminated, she cannot elect to receive a refund of her contributions. Instead, the funds must still be used to provide her with a lifetime income, commencing no later than the end of the year in which Janet turns 71. Under the terms of the OMERS plan, contributions are automatically locked in for employees who enrolled in the plan after January 1, 1987, and who have two years of plan membership.

Pension Calculation

Section 4 of the annual statement (i.e. 'Pension Calculation') provides an explanation of how Janet's benefit entitlement is calculated. OMERS' pension plan is a defined benefit plan based on best earnings over five consecutive years, and a 2% unit per year of credited service. It also uses a 0.7% CPP offset to step down the pension payments at age 65, when CPP benefits are assumed to commence.

The first three columns of Section 4 summarize Janet's best five years of earnings. Since Janet does not yet have five years of service, her numbers are pro-rated.

Because CPP contributions are only made on earnings up to the YMPE, the CPP offset is only applied to earnings up to the average YMPE of the previous three years. The fourth column under Section 4 of Janet's statement shows the average YMPE for the last three years. If Janet's earnings had been below the YMPE, the offset would have been applied to her CPP pensionable earnings over that same time period.

Directly below the YMPE calculation, Janet's statement provides a summary of her credited service. Because Janet has not purchased any broken service or bought back any past service, her credited service is simply the duration of her enrollment at the time of the annual statement (that is, 57 months or 5% years).

Finally, the bottom part of Section 4 calculates Janet's current basic pension entitlement at age 60 calculated as $[(2\% \text{ of her best earnings}) \times \text{her credited service}]$. At age 65, this would be reduced by the CPP offset calculated as $[(\text{average YMPE} \times 0.7\%) \times \text{her credited service}]$.

It is important to note that the pension entitlement calculated in Section 4 reflects the pension that Janet has earned to the end of the statement date of the statement (that is, if she terminated her employment and participation in the plan on December 31st of last year). It is not a projection of the actual pension that she will receive at retirement if she continues to work for her current employer and remains a contributing member of the OMERS plan.

Projection of Pension Income

For those who are some years away from retirement, benefits under defined benefit plans can be projected using a financial calculator. The employer is not required to provide this information on the member's annual pension statement.

There are several variables required and several calculations. These are most easily presented in the form of a table.

Note: It is imperative that you pay close attention to the base year considered in these calculations, so that you incorporate the correct amount of pay periods and anticipate accurately how many pay increases the subject will get.

Click the icon to view Janet Doe's Projection of Pension Income statement. These projections assume that she will work for 25 more years. Please keep this statement handy as you will need to refer to it throughout the rest of this lesson. Explanations of the various calculations found in Janet's statement are provided on the following pages.

Current Pensionable Earnings

Pensionable earnings (PE), as defined in the pension plan agreement, are the individual's earnings, which are eligible for inclusion in determining the annual pension income at retirement. Pensionable earnings include basic salary, but may or may not include bonuses, overtime, and taxable benefits. The PE is used to calculate the annual pension income at retirement and the annual pension adjustments. This amount may or may not be the same as earned income.

Example Assuming Janet's pensionable earnings increase by 3% each year, in 2024, Janet's pensionable earnings will be \$83,366.00, calculated as $[\text{current PE} \times (1 + \text{projected annual increase in PE})]$ or $[\$83,850 \times (1 + 3\%)]$.

Annual increase in PE expected

This rate is used to calculate the annual pensionable earnings at retirement.

Years of Service Expected at Retirement

The years of service expected at retirement is used in calculating the annual pension income.

Example We have assumed that Janet will work for another 25 years. This means, when she retires she will have accumulated 29 years and 9 months (i.e. 29.75 years) of service with the Kingston Police force calculated as (current years of service + projected additional years of service) or $(4.75 + 25)$.

Age at which Pension Payments Commence

This is used to determine the number of years until the pension commences.

Example As of the date of the pension statement, Janet was 34 years old. Therefore, when she retires she will be 59 years old calculated as (current age + projected additional years of service) or $(34 + 25)$.

Indexation of Annual Pension Income

This rate is used to index the pension income each year after retirement. Usually it is specified as a percentage of the Consumer Price Index in the pension plan documents. For example, if the rate specified in the plan is 70% of the CPI, and you have assumed the CPI will be 5%, the indexation of pension income is 3.5%, calculated as $(\text{CPI} \times \text{indexation rate})$ or $(5\% \times 70\%)$.

Example The OMERS plan is not indexed.

Year's Maximum Pensionable Earnings (YMPE)

The YMPE is the maximum employment (pensionable) earnings on which the Canada and Québec Pension Plans are based. The YMPE is used to determine the maximum annual contributions to the CPP/QPP and the resulting retirement benefits. It may also be used in the determination of pension benefits from a defined benefit plan.

Percentage of Pensionable Earnings per Year of Service

The percentage of pensionable earnings per year of service, as defined in the plan, is used to determine the size of the pension benefit at retirement. Many pension plans specify one percentage for earnings up to the YMPE and a different percentage for earnings in excess of the YMPE.

Example The OMERS plan provides a pension of 2% per year of service of average pensionable earnings for the last five years of service reduced by a CPP offset of 0.7% of the average YMPE for the last three years of service. For earnings below the YMPE, the benefit per year of service is 1.3%, calculated as $(\text{basic benefit} - \text{CPP offset})$ or $(2.0\% - 0.7\%)$.

Number of Years Averaged for Final Pensionable Earnings

Typically, the pension plan specifies that the final pensionable earnings on which the pension income is based, is the average of the last 3 or 5 years of pensionable earnings.

Example Janet's membership in the OMERS plan provides a pension based upon average pensionable earnings for the last five years of service.

Average Final Pensionable Earnings

The average final pensionable earnings is the pensionable earnings for the last year of employment, or the earnings average over the number of years specified in the number of years averaged for final pensionable earnings.

Example Janet's average pensionable earnings for her final five years of service will be \$165,630.00, calculated as (the average of her pensionable earnings in her final five years) or $[(\$175,563.28 + 170,449.79 + \$165,485.23 + \$160,665.27 + \$155,985.70) \div 5]$.

The pensionable earnings approaching retirement are calculated by entering $DISP = 0$; $P/Yr = 1$; $xP/Yr = 25, 24, 23, 22$, and 21 ; $I/Yr = 3\%$; $PV = -83850$; $PMT = \$0$ and solving for FV . The last year's earnings are based upon $xP/Yr = 25$ years. Janet's pension statement is based as of the end of last year. Assuming Janet's salary for the year is set at the beginning of each year, Janet will have 25 more pay increases.

Number of Years Averaged for Final YMPE

Typically, the pension plan specifies that the final YMPE on which the pension income is based is the average of the last three years YMPE. If the YMPE is not a factor in determining the pension income, you can leave the number of years as zero.

Average Final YMPE at Retirement

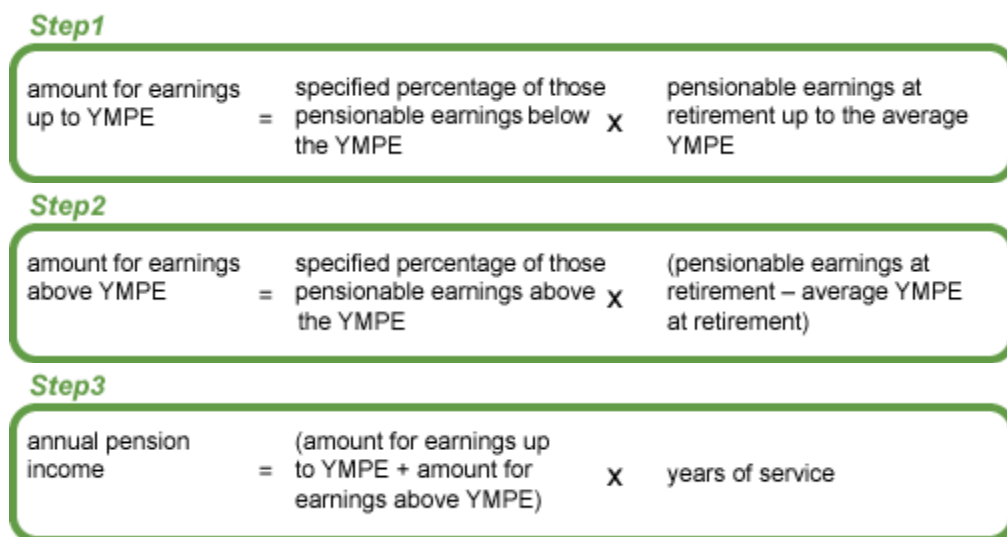
The average YMPE at retirement is used in calculating the annual pension income at retirement.

Example For Janet, the average YMPE at retirement will be 135,424.00, calculated as (the average of the YMPE over her final three years of employment) or $[(\$139,445.61 + \$134,385.09 + \$131,440.86) \div 3]$.

Given that the YMPE in 2023 was \$66,600.00, the YMPEs in the final three years before Janet's retirement are calculated by entering $DISP = 0$; $P/Yr = 1$; $xP/Yr = 25, 24$, and 23 ; $I/Yr = 3\%$; $PV = -66600$; $PMT = \$0$ and solving for FV of the YMPE.

Annual Pension Income at Retirement

The annual pension income is calculated as:



Example Janet's annual pension income at retirement will be \$70,348.00, calculated as $[((\text{final average YMPE} \times 1.3\%) + (\text{the greater of } \$0 \text{ and } (\text{final average pensionable earnings} - \text{final average YMPE})) \times 2\%) \times \text{years of service}]$ or $[((\$135,424 \times 1.3\%) + (\text{the greater of } \$0 \text{ and } (\$165,630 - \$135,424)) \times 2\%) \times 29.75]$.

Annual Pension Income at Retirement with Any Survivor's Benefits

The annual pension income at retirement may be reduced if the pensioner chooses survivor's benefits for a spouse or common-law partner.

Example Based upon the pension formula, Janet is entitled to an annual pension of \$70,348 for the duration of her life. If she has a spouse or common-law partner, some plans call for this amount to be reduced to provide survivor's benefits. However, in some other plans, the basic amount already includes a survivor's benefit. In Janet's case, assume that there is no reduction so, her pension will remain \$70,348 per year.

CPP Supplement until Age 65

The OMERS plan is a 2% defined benefit RPP that is integrated with the CPP. The intent of the plan is to provide a pension such that the annual pension plus the CPP will provide 2% per year of service. For employees who retire before age 65, a CPP supplement is added to the employer pension until age 65 to provide a 2% benefit. At age 65, this supplement is discontinued. Meanwhile, the former employee has the choice as to when to start collecting CPP. The actual CPP received at age 65 is not necessarily the amount of the CPP supplement.

Example Based upon 2% per year of service, Janet would be entitled to a pension of \$98,550.00 per year, calculated as $[(\text{average final pensionable earnings} \times \text{percentage per year of service}) \times \text{years of service}]$ or $[(\$165,630 \times 2\%) \times 29.75]$. Her CPP supplement from retirement until age 65 would be 28,202.00, calculated as (her pension at 2% – her integrated pension) or $(90,550.00 - 70,348.00)$

Summary

The calculation of the future value of the retirement benefits from a defined benefit plan requires a fair bit of number crunching. However, the projected retirement benefit at retirement is usually not provided by the employer. You must therefore perform these calculations when preparing a retirement plan for a client who belongs to a defined benefit plan. The task can be expedited through the use of professional retirement planning software.

Summary

The calculation of the future value of the retirement benefits from a defined benefit plan requires a fair bit of number crunching. However, the projected retirement benefit at retirement is usually not provided by the employer. You must therefore perform these calculations when preparing a retirement plan for a client who belongs to a defined benefit plan. The task can be expedited through the use of professional retirement planning software.

Distribution at Death

The distribution of pension funds upon death of a member depends on the jurisdiction in which the fund operates, as well as whether death occurred:

- before retirement
- before retirement, but after the early retirement age
- after retirement

Death Prior to Retirement

The federal Pension Benefits Standards Act (PBSA) requires that the pre-retirement death benefit be at least equal to the value of the deceased member's vested termination benefits accrued after 1986 and until the time of death, including both employer and employee contributions, plus interest.

Death prior to early retirement age

If death occurs more than ten years prior to the member's normal retirement age, the surviving spouse or common-law partner may opt to receive a deferred annuity from the pension plan, based on 100% of the commuted value of the deceased's post-1986 benefits. Alternatively, the spouse or common-law partner may transfer the commuted value of the deceased's accrued pension to:

- his or her own RPP if that plan permits
- a locked-in retirement account (LIRA)
- a financial institution for the purpose of purchasing an immediate or deferred annuity

This final option may have immediate tax consequences, unless he or she first transfers the funds to an RRSP or RRIF before purchasing the annuity.

Death after early retirement age

However, if death occurs within ten years of normal retirement age, the deceased is deemed to have been eligible for a reduced early retirement pension, payable on a joint and last survivor basis. In this case, the spouse or common-law partner would receive at least 60% of the reduced early retirement pension earned by the deceased member. These benefits would be in addition to a refund of the employee's contributions plus interest with respect to plan membership prior to 1987.

If there is no surviving spouse or common-law partner, the death benefit to a designated beneficiary or estate must at least equal the employee's contributions plus interest. Minor variations to the required death benefits occur from jurisdiction to jurisdiction.

Death After Retirement

The disposition of benefits when death occurs after retirement depends on the nature of the pension distribution, and is described in Retirement Distribution Options.

Retirement Distribution Options

All pension plans must define the normal pension, which specifies what form the pension payments take and what benefits, if any, a member's beneficiary or estate receives if the member dies after retirement.

The pension needs of individuals differ, and this fact is recognized in most registered pension plans by providing options in which the pension benefit may be received. These options do not result in any additional cost because they are actuarial equivalents of what is otherwise considered to be the normal pension. The monthly benefits payable by each different form of pension vary.

The most common pension arrangements are the following:

- straight-life annuities
- refund annuities
- annuities with a guaranteed period
- joint and last survivor annuities
- variable annuities and cost of living supplements
- cash options

Each arrangement is described in more detail on the following pages.

Straight-life Annuities

In a non-contributory plan, the normal pension is often in the form of a straight-life annuity, where a pension is payable for the lifetime of the member, with no further payments after the member dies. Straight-life annuities are still used for single beneficiaries, but they are no longer permitted for married beneficiaries and, in some provinces, common-law partners.

Refund Annuities

If the pension plan was contributory, the plan typically includes a qualification that ensures that employees at least get back the value of their contributions. If death occurs before the total pension benefits received to the date of death are at least equal to the employee's contributions plus interest, then the balance is paid in a lump sum to the beneficiary or estate. A pension with this provision is known as a refund annuity.

Annuities with a Guaranteed Period

Some pensions include a qualification that the pension is payable for life, with a provision that payments are guaranteed to continue for a minimum number of years, usually five or ten years, even if death occurs before the end of the guaranteed period. This is known as a guaranteed annuity.

Joint and Last Survivor Annuities

Another form of pension common in the public sector is a joint and last survivor annuity. In this case, the monthly benefit is usually reduced, in comparison to a straight-life annuity. However, if either the member, the spouse, or the common-law partner dies payments continue throughout the surviving spouse or common-law partner's lifetime. In some plans, the payments to the surviving spouse or common-law partner are reduced, and in others they are not. Some plans only call for the reduction if it is the plan member who dies. If the plan member's spouse or common-law partner dies, the plan member continues to receive full payment.

The joint and last survivor provision is probably the most useful of all pension options because it provides the assurance that both the member and his or her spouse or common-law partner receive a retirement income for the duration of their lifetimes. This assurance usually comes with a price in the form of a reduced monthly benefit. The size of the reduction depends on the ages of both the member and his or her spouse or common-law partner, as well as the degree of reduction (if any) in the monthly payment after the first spouse or common-law partner dies.

The following table provides an example of the reduction in monthly benefit that can be expected in comparison to a male with a single life annuity of \$100 per month commencing at 65 years of age.

Comparison of Pension Benefits		
Nearest age of Female Beneficiary	Amount payable to couple jointly when pension is to continue in full to survivor	Amount payable to couple jointly when pension to survivor is to be reduced by 50%
55	\$76.61	\$87.40
58	\$78.41	\$88.54
61	\$80.31	\$89.74
64	\$82.29	\$90.96
67	\$84.33	\$92.80
70	\$86.41	\$93.43

Some public sector plans use the joint and last survivor annuity as the normal pension for all members, giving a distinct advantage to married couples over single pensioners. In most jurisdictions it is now mandatory for pensions to be paid as a joint and last survivor annuity if the member has a spouse or common-law partner.

Variable Annuities and Cost of Living Supplements

One of the drawbacks of pensions is that, while the amount of monthly payment may be adequate at retirement, over a few years, inflation can consistently erode the purchasing power of those payments.

One method that has been suggested to overcome this problem is that the pension legislation be changed to permit at least part of all contributions to be placed in a segregated fund of equity investments. With a variable annuity, the amount of pension payments related to those contributions would vary in accordance with the market value of this fund. Some financial advisors claim that this would reflect the changes in the cost of living.

However, there is no real evidence that stock market values are related in any reliable way to changes in the cost of living. Also, while pensioners are eager to accept increased pensions in times of market increases, most would resent any cut in pension payments that would result from a downturn in market conditions.

Some insurance companies offer fully indexed annuities as an optional form of settlement for pension plan proceeds. However, these are usually not popular with pensioners because of the lower initial pension payments. Employers administering defined benefit plans are also reluctant to offer indexed pensions because of the high cost of providing indexation on top of the prescribed benefits. It has been estimated that the cost of an indexed plan with indexation of 5% per year would account for 25% to 33% of total costs.

Some defined benefit plans, particularly those in the public sector, already have indexation built into the normal pension benefits, and these plans are funded in advance by employee and employer contributions. However, indexed plans are less common in the private sector because of the uncertainty and high costs involved. Private plans are more likely to provide ad hoc supplements to pensioners, with a value of 2% to 3% for each year since retirement. However, this benefit is not guaranteed.

Cash Options

The purpose of a pension plan is to provide a continuous income upon retirement. Thus, in most cases a pension cannot be commuted to cash at retirement. Most jurisdictions only permit a cash option if the annuity is small (under \$25 per month), or if the member has a short life expectancy due to disability or poor health. Similarly, most jurisdictions prohibit a cash settlement unless the pension is less than 2% of the YMPE in the year that employment is terminated.

Commencement of Distributions

Pensions are designed to provide a retirement income, and thus benefits do not commence until retirement (with the exceptions of termination, death, or disability). However, retirement is becoming less well defined.

Normal Retirement

Normal retirement age (NRA) is the age specified in the pension plan at which time the member has the right to retire and receive an unreduced pension. While the typical NRA used to be 65, there is a tendency towards lower retirement ages. Several jurisdictions prohibit an NRA later than age 65 or 66. Again, the more generous public pension plans are tending towards an earlier NRA, particularly for emergency personnel such as police officers, fire fighters and air traffic controllers. This trend to an earlier age is somewhat anomalous with increasing life expectancies people are living longer but retiring earlier, thereby significantly increasing the length of time over which a retirement income is needed.

Qualifying factor

Some pension plans specify a normal retirement age (for example, age 65), with an optional alternate calculation for unreduced early retirement, such as 30 years of service regardless of age. Other plans specify a qualifying factor, which is the combination of age and years of service required to entitle a pension plan member to an unreduced pension upon early retirement. Recall that the earliest retirement age is calculated as $[(\text{age at which individual joins RPP} + \text{qualifying factor}) \div 2]$. In these cases, a person meeting the alternate qualifications would be eligible to receive an unreduced pension commencing at an age prior to the NRA.

Example Stu is a fire fighter and belongs to a pension plan that has an NRA of 60, with an alternate factor of 85. Stu joined the fire department when he was 29 years old and became a member of the RPP upon his hire date. He is eligible for an unreduced retirement pension at age 57, calculated as follows:

$$\begin{aligned}\text{earliest retirement age} &= [(\text{age at which Stu joined the RPP} + \text{qualifying factor}) \div 2] \\ &= [(29 + 85) \div 2] \\ &= 57\end{aligned}$$

Eligibility for an unreduced early retirement pension should not be confused with taking early retirement.

Early Retirement

Most pension plans will permit members to retire early, up to ten years before the normal retirement age, and still collect a pension. However, the entitlement from a defined benefit plan will be reduced to account for the reduced years of service.

In addition, the pension will be reduced (based on actuarial assumptions) to account for the fact that the pension will likely be paid for a longer period of time.

The following is the process of actuarial reduction:

1. The present value of the expected pension benefits at normal retirement age is calculated.
2. This present value is discounted to the current time.
3. The pension benefits are recalculated based upon the smaller present value and longer life expectancy.

Actuarial equivalents can result in quite dramatic decreases in monthly pension payments. An actuarial equivalent pension taken at age 60 will have a monthly payment of about 35% less than the same pension taken at age 65.

Example Jack's pension benefit entitlement is a constant \$1,000 per year of service. If Jack joined the plan when he was 40 and the plan has an NRA of 65, he would be entitled to an annual pension of \$25,000 at age 65. Now suppose Jack decides to retire at age 60. He would only have 20 years of service, and thus he would be entitled to a smaller pension of only \$20,000 per year.

However, because he is commencing the pension at age 60, he will receive pension payments for five years longer than if he retires at age 65. Thus, his \$20,000 pension may be actuarially reduced by about 35%, to reflect the cost of providing the pension payments over a longer period of time. The actuarial equivalent of taking the \$20,000 pension at age 60 instead of the normal retirement age of 65 would be about \$13,000.

In practice, most pension plans do not do a full actuarial evaluation to determine the actuarial equivalent of a pension taken at early retirement. Instead, the plan may call for a standard, but somewhat arbitrary, percentage reduction for every year of early retirement.

Example Janette belongs to a defined benefit plan that offers 2% per year of service times final earnings, at age 65. At age 62, when her final earnings had stabilized at \$50,000 per year and she had 25 years of service, she decided to retire early, but she does not qualify for an unreduced early retirement pension based upon the plan's qualifying factor. Her pension plan requires a 4% reduction per year of early retirement. Her annual pension would be \$22,000, calculated as follows:

Her pension at NRA is \$25,000, calculated as $((\text{final earnings} \times \text{benefit rate}) \times \text{years of service})$ or $((\$50,000 \times 2\%) \times 25)$.

Her pension reduction is 12%, calculated as $(\text{reduction per year} \times \text{years before NRA})$ or $(4\% \times 3 \text{ years})$.

Her early retirement pension is \$22,000 calculated as $(\text{Pension at NRA} \times (1 - \text{Pension Reduction}))$ or $(\$25,000 \times (1 - 12\%))$.

Janette will receive this reduced pension of \$22,000 per year for the rest of her life.

Late Retirement

The normal retirement age specified in the pension plan should not be interpreted as the mandatory retirement age for plan members. In fact, mandatory retirement is banned in most provinces for most occupations.

Some pension plans require pension payments to commence at normal retirement age, even if the employee continues to work. Others allow pension credits to continue to accumulate after the normal retirement date, with the employer (and the employee in contributory plans) continuing to make contributions and building a larger pension fund. Still other plans call for contributions to cease at normal retirement age, but allow the commencement of pension payments to be delayed, with the actuarial equivalent of a normal pension payable when retirement commences.

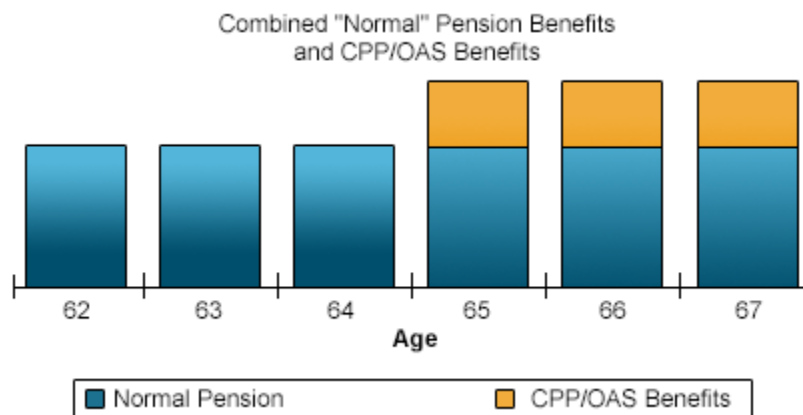
Under federal taxation regulations, pension payments must commence no later than the end of the year in which the member turns 71 years of age.

Integration of RPPs with CPP and OAS

There are three types of RPPs:

- normal plans
- notched pension plans
- bridged pension benefits

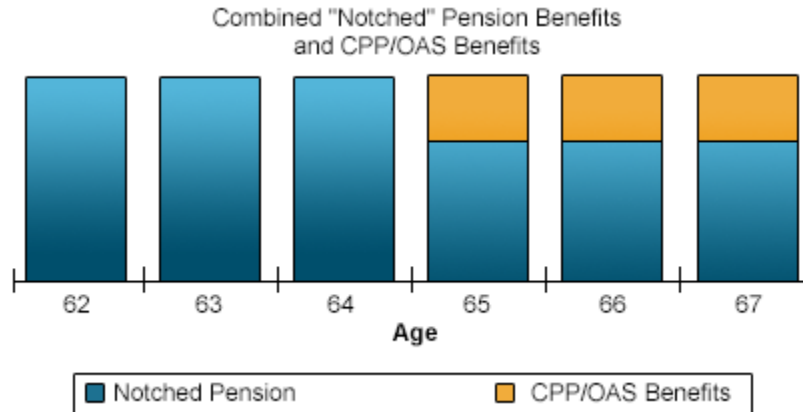
Each type is described in more detail on the following pages.



Notched Pension Benefits

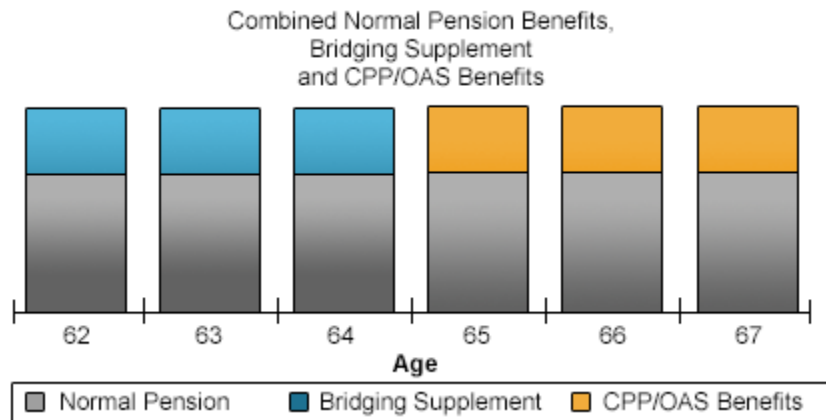
Some pensions provide a notched option for those retiring before age 65. The provision allows for higher than normal monthly pension payments in the retirement years prior to age 65. The payments are then reduced to below normal once the government benefits commence, resulting in a level income, as shown in the following graph.

The notched option does not impose any additional cost on the pension plan because the increase in benefits prior to age 65 is actuarially offset by the reduction in benefits after age 65.



Bridged Pension Benefits

The notched option differs from the bridging option offered by some plans. With this option, a bridging supplement equivalent to the anticipated government benefits is provided by the plan in the years prior to age 65, in addition to the normal level of benefits, as shown in the following graph. While the bridging supplement also serves to level the retirement income, it is an additional benefit, and as such it imposes an additional cost to the employer.



Retirement Due to Disability

Pension plans may have special provisions relating to the payment of a retirement pension to a member who becomes disabled prior to being eligible for a retirement pension.

Unlike early retirement, which results in a reduction in pension payments, most disability provisions stipulate that full credit must be given for pensions earned up to the date of retirement, without any reduction. Thus, the cost to a pension plan for a disability pension commencing at age 50 will be greater than if the same individual had simply elected to retire at age 50 and receive a reduced pension. This additional cost is assumed by the pension plan.

If disability payments are instead made to the employee under a long-term disability insurance contract, the credit earned under the pension plan may be deferred until normal retirement age. In this case, the

period between the time disability payments commence and normal retirement age may be pensionable service, and the pension at retirement would be based on the full credited service.

Deferred Profit-Sharing Plans (DPSPs)

Welcome to the lesson, Deferred Profit-Sharing Plans (DPSPs).

Nature of Deferred Profit-Sharing Plans

According to the Income Tax Act, a deferred profit-sharing plan (DPSP) is a form of trust fund to which an employer makes contributions on behalf of its employees. DPSPs are essentially a form of deferred employee remuneration, often used for retirement planning. DPSPs are registered with the Canada Revenue Agency in accordance with the Income Tax Act and provide a means of deferring tax on both contributions and the investment income that accumulates on those contributions until the funds are withdrawn.

Comparison with Other Registered Plans

A DPSP is a creation of the Income Tax Act and is not regulated as a pension plan under federal or provincial pension legislation. While, like registered pension plans, a DPSP is an employer-sponsored plan, it is actually more like a registered retirement savings plan in its operation.

While employer contributions to an RPP are explicitly defined in the plan contract, contributions to a DPSP may vary from year-to-year in accordance with company profits. Thus, DPSPs are much less secure for the employee but, favoured by employers who do not want to become obligated to high contribution levels that they may not be able to afford in the future.

Other differences include:

- All amounts must vest with the beneficiaries once the member has two years of participation in the plan. Vesting can occur sooner if set out in the plan.
- Employees are not allowed to contribute to the plan.
- The plan cannot specify a significant shareholder or non-arm's length person as a beneficiary under the plan (that is, a person who has the influence to affect business policies, either because of his or her direct involvement in the company or because he or she is related to someone of influence).

- Upon the earliest of termination of employment, age 71, death or wind-up of the plan, the member can receive a lump sum from the DPSP in cash (subject to tax) or he or she can transfer it to an RRSP, RPP or another DPSP with himself or herself as beneficiary. Rather than a lump sum, the member may also choose to receive multiple payments over a period not exceeding 10 years.

Contributions

Employees cannot contribute to a DPSP (unless it is a lump-sum transfer from another DPSP, as described later). Thus, the employer is responsible for making all of the contributions. Employer contributions can be based on profits, employee earnings or a fixed amount per employee. The contributions are held by a trustee in an account that designates the employee as the beneficiary.

Although contributions are made by the employer, the DPSP contribution limit is based on the income level of the employee who is the beneficiary. The DPSP contribution limit is set as the *lesser* of:

- 18% of the employee's salary
- one-half the money purchase limit for the year (ITA 147(5.1))

DPSP Contribution Limits

Year	DPSP Contribution Limit
1996 to 2002	\$6,750
2003	\$7,750
2004	\$8,250
2005	\$9,000
2006	\$9,500
2007	\$10,000
2008	\$10,500
2009	\$11,000
2010	\$11,225
2011	\$11,485
2012	\$11,910
2013	\$12,135
2014	\$12,465
2015	\$12,685
2016	\$13,005

2017	\$13,115
2018	\$13,250
2019	\$13,615
2020	\$13,915
2021	\$14,605
2022	\$15,390
2023	\$15,780
2024	\$16,245

Some employers offer DPSPs in combination with registered pension plans. If this is the case, the contribution limits to the DPSP are reduced by any contributions that the employer makes to the RPP on behalf of the employee.

Example Rick, who earns a salary of \$60,000, belongs to both a defined contribution RPP and a DPSP sponsored by his employer, Countdown Inc. RPP contributions by Countdown are set at 5% of the employee's earnings. The company realized a profit of \$500,000 this year and contributions to the DPSP are set at 1% of profits.

Countdown will make a contribution to the RPP on behalf of Rick in the amount of \$3,000, calculated as (pensionable earnings $\times$ contribution rate) or ($\$60,000 \times 5\%$).

Countdown will also make a contribution to the DPSP on behalf of Rick in the amount of \$5,000, calculated as [the *lesser* of (DPSP limit – RPP contribution) and employee's share of profits] *or* [the *lesser* of ($\$16,245 - \$3,000$) and ($\$500,000 \times 1\%$)].

Contributions are deductible for income tax purposes by the employer in the year that they are made (ITA (8)). There are no provisions under a DPSP for the purchase of past service credits.

Distribution Options and Tax Treatment

The amounts the employer contributes to the DPSP on behalf of the employee are not taxable to the employee until the payments are received from the plan.

All amounts vested to the employee become payable no later than 90 days after the earliest of the following dates:

- the day that he or she ceases to be employed by a contributing employer
- the day that he or she becomes 71 years old
- the day that the plan terminates or winds up
- the day that he or she dies

Unlike employer-sponsored registered pension plans, which must operate in accordance with pension legislation, some DPSPs allow the employee to make withdrawals from the DPSP even while he or she is

still an active employee and member of the plan. Withdrawals are subject to the tax deferral options described on the following pages.

Direct Distribution

If an employee is a member of a DPSP and the plan provides for it, he or she can elect to have all or part of any amounts held by the trustee in his or her name paid:

- directly to him or her in equal annual or more frequent installments over a period of not more than 10 years *or*
- to an eligible issuer of annuities for the purpose of purchasing a registered annuity, with himself or herself named as the annuitant, provided the annuity does not have a guaranteed term of more than 15 years and from which payments begin no later than his or her 71st birthday

Amounts received directly from the trustee of a DPSP or from an annuity purchased with DPSP funds, must be included in the income of the beneficiary for the year in which the payments are received.

Beneficiary means any person entitled to benefits from a DPSP and includes the following:

- an employee or former employee for whom the employer has contributed amounts to the plan *or*
- in the case of death, the estate or person designated as the beneficiary by the employee or former employee

Example Mary is an active member of the DPSP sponsored by her employer and she has vested rights to contributions plus accumulated income in excess of \$8,000. Under the terms of the DPSP, she is permitted to make periodic withdrawals from her DPSP account.

Faced with an unexpected and unusually large expense, Mary decides to withdraw \$4,000 from the DPSP. Mary must include this amount in her income for this year and she will be assessed income tax on this amount based on her marginal tax rate. Income taxes will be withheld at source when she withdraws the funds.

DPSP Lump-Sum Transfers

Alternatively, an employee can elect to transfer all or some of the funds from his or her DPSP directly into a registered pension plan, an RRSP or RRIF or to another DPSP where he or she is named as an annuitant, provided that the DPSP that receives the funds can reasonably be expected to have at least five beneficiaries throughout the year in which the transfer is made.

It must be emphasized that the lump sum must be directly transferred to the receiving registered plan in order to continue the tax deferral. If the funds are first paid to the employee, he or she must include it in his or her income for the year and his or her opportunity to transfer the amount to another registered plan on a tax-deferred basis is lost. If the employee chooses to transfer a DPSP lump-sum amount directly to another registered plan, the amount is not included in his or her income but, he or she cannot deduct it from his or her income.

Example Ken is an active member of the DPSP sponsored by his employer and a total of \$15,000 has accumulated in the DPSP account on his behalf.

Ken may request the trustee of the DPSP to transfer the \$15,000 directly into an RRSP under which Ken is the annuitant. As the funds are transferred directly, without ever entering Ken's hands (or his bank account), the funds rollover and do not have to be included in Ken's income for the year. However, Ken may not deduct the transferred amount from his income as the \$15,000 is not considered a contribution to his RRSP.

If the taxpayer's spouse or common-law partner was a DPSP member and the taxpayer becomes entitled to a DPSP lump-sum payment as a result of the death of his or her spouse or common-law partner, the taxpayer may transfer all or part of the payment directly to:

- a registered pension plan for his or her own benefit
- his or her own RRSP, provided he or she is under 72 years of age throughout the year in which the transfer is made
- his or her own RRIF
- to another DPSP established for his or her benefit, provided that it can reasonably be expected that the DPSP that receives the funds will have at least five beneficiaries throughout the year in which the transfer is made (ITA 147(19))

Again, provided that the transfer is made directly, the lump-sum payment is not considered to be income and a tax deduction cannot be claimed from the amount transferred. However, if the taxpayer first receives the lump sum in cash, he or she must report it as income and loses the opportunity to transfer it into an RRSP, RRIF, RPP or DPSP on a tax-deferred basis.

Shares of a Corporate Employer

There is an exception to the direct transfer rule, if part or all of the payment is in the form of shares from a corporate employer that contributed to the DPSP, or from a corporation with which the employer did not deal at arm's length. The taxpayer may choose, at his or her discretion, to transfer these shares directly into his or her RRSP or registered pension plan at their fair market value. However, he or she may also choose to receive the shares directly, and elect to include in his or her taxable income only the cost amount to the DPSP of the shares received, instead of the fair market value of the shares.

To qualify for this election, the shares must be received as a single receipt that signifies the complete termination of the beneficiary's interest in the DPSP. Furthermore, the election must be applied to all of the shares received.

You can refer to IT-281R2, Elections on single payments from a DPSP, if you want further information.

Example Mark recently terminated his membership in his past employer's DPSP. As a result, Mark received a lump-sum payment that included, among other things, 100 shares valued at a total of \$6,000 at the time of termination. When the shares were first added to Mark's DPSP, they were worth only \$4,000. Because the shares formed part of a single payment that completely settled the DPSP's obligation to Mark, he can elect to include only the cost amount of \$4,000 in his taxable income. This \$4,000, in effect, becomes his adjusted cost base for the shares.

However, if the taxpayer makes this election and later disposes of his or her shares, he or she will realize a capital gain to the extent the fair market value exceeds the adjusted cost base.

Example Continuing on from the previous example, suppose Mark later sells the shares for \$7,000. At that time, he would realize a capital gain of \$3,000, calculated as (proceeds of sale - ACB) or (\$7,000 - \$4,000).

If a taxpayer makes this election, the adjusted cost base becomes an eligible amount (ITA 60(j)). This means that he or she is then allowed to offset this taxable amount by making a special contribution up to the adjusted cost base of the shares to his or her RRSP or RPP, provided the contribution is made within 60 days of the end of the year in which the shares are reported as taxable income.

Example Ross was a member of his employer's deferred profit sharing plan. A few years ago, Ross's employer contributed company shares, valued at the time at \$3,000, to Ross's DPSP. Ross recently left his employer, and was entitled to receive a lump-sum payment from the DPSP, which included, along with some cash, the shares that had been contributed a few years ago. By that time, the shares had increased in value, such that the fair market value was \$7,000. Ross could opt to either:

- transfer the shares directly into his own RRSP or the RPP of his new employer, at the fair market value of \$7,000
or
- receive the shares directly, including only the cost amount of \$3,000 in his taxable income, and subsequently make a special contribution of up to \$3,000 to his RRSP and claim an offsetting deduction from his taxable income

Finding More Information

Deferred profit sharing plans are offered by a limited number of employers as a form of deferred remuneration. While a DPSP is better than receiving no benefits or extra compensation at all, it is less secure for the employee than an employer-sponsored pension plan. The freedom to remove funds at any time, subject to taxation, means that the funds do not necessarily have to be used to provide a retirement income.

If you want further information on DPSPs, you can refer to the following:

- IT-281R2, Elections on single payments from a DPSP
- IT-363R2, DPSP – Deductibility of contributions and taxation of amounts received by a beneficiary
- IT-408R, Life insurance policies as investments of RRSPs and DPSPs
- IT-412R2, Foreign property of registered plans

Review

Let's look at the concepts covered in this unit:

- Foundations of Pension Plans
- Defined Contribution (DC) Pension Plans
- Defined Benefit (DB) Pension Plans
- Defined Benefit RPP Case Study
- Distribution Options
- Deferred Profit Sharing Plans (DPSPs)

You should now have a good understanding of Employer-sponsored Pension Plans concepts and when you are ready, you can complete the formal assessment.

Formal Assessment

Now that you have completed Employer-sponsored Pension Plans, you are ready to assess your knowledge.

You will be asked a series of questions. When you have finished answering the questions, click Submit to see your score.

When you are ready to start, click the Go to Assessment link.

Note: Once you submit your answers to the assessment questions for grading, you will no longer be able to view the questions and the possible responses in their original format (you will only see the feedback for each question). If you want to use the assessment questions for study purposes at a later date, print the questions *before* you submit them for grading.

[Go to Assessment](#)

Module 9

RRSPs and TFSAs

Welcome to the unit, RRSPs and TFSAs.

After completing this unit, you will be familiar with the following concepts:

- Registered Retirement Savings Plans (RRSPs)
- RRSP Contributions and Retiring Allowances
- Pension Adjustments (PA)
- Spousal RRSPs
- Home Buyers' Plan (HBP)
- Lifelong Learning Plan (LLP)
- Tax-Free Savings Accounts (TFSAs)

Registered Retirement Savings Plans (RRSPs)

- Welcome to the lesson, Registered Retirement Savings Plans (RRSPs).

Nature of an RRSP

- A registered retirement savings plan (RRSP) is essentially a trust set up and registered with the Canada Revenue Agency, in accordance with the Income Tax Act, to hold certain investment

assets intended for retirement (ITA 146(1)). An RRSP is not a type of investment but rather an investment vehicle. More specifically, it is a trust that holds eligible investments.

- Contributions are deductible from the net income of the individual (within limits); payments out of the plan are taxed upon distribution, usually after retirement when the marginal rate of the taxpayer is typically lower.
- An RRSP is a formal contract or arrangement between an individual (the *annuitant*) and the issuer of the plan. Annuitant or his or her spouse or common-law partner contributes funds to the plan and uses the funds to provide a retirement income when the plan matures.
- RRSP Contributions and Retiring Allowances
- Welcome to the lesson, RRSP Contributions and Retiring Allowances.

Earned Income

The current contribution limit is based upon an individual's earned income from the previous year. Earned income includes the following:

- net income from employment or an office, before deductions for registered pension plan contributions (Note: Net income includes overtime and bonuses, reduced by amounts that the employee is required to pay to meet the conditions of employment, such as union dues or professional association dues and for which the employee can take a deduction)
- self-employment income for individuals operating their own businesses, or working as active partners in business partnerships
- allocations from employee profit sharing plans
- taxable benefits from wage loss replacement programs (e.g. taxable disability benefits received from a plan that was paid for by the employer)
- taxable alimony and maintenance receipts
- royalties for works (books, music) or inventions
- unemployment benefits, other than from the federal Employment Insurance plan
- research grants (net of related expenses)
- net rental income on real property
- Canadian-source business or employment income while a non-resident
- a disability benefit under The Canada Pension Plan or Québec Pension Plan

The following items are deducted from earned income for the purpose of calculating the current limitation:

- refunds of salary, wages, and research grants
- current-year net rental losses on real property
- current-year business losses
- deductible alimony and maintenance payments (ITA 146(1))

Earned income does not include:

- property income, other than rental income
- taxable capital gains
- scholarships or bursaries

- business income earned as a limited partner
- RRSP, RRIF, OAS, and CPP pension income
- death benefits
- EI benefits
- Workers' Compensation benefits

Current Contribution Limits

The RRSP contribution limit is calculated as the *lesser* of:

- 18% of an individual's earned income for the previous year *and*
- the maximum contribution limit for the current year.

Contribution limits for recent years are shown in the table.

Year	RRSP Contribution Limit	Earned income required in the previous year to support maximum contribution
1996 - 2002	\$13,500	\$75,000
2003	\$14,500	\$80,600
2004	\$15,500	\$86,100
2005	\$16,500	\$91,667
2006	\$18,000	\$100,000
2007	\$19,000	\$105,556
2008	\$20,000	\$111,111
2009	\$21,000	\$116,667
2010	\$22,000	\$122,222
2011	\$22,450	\$124,722
2012	\$22,970	\$127,611
2013	\$23,820	\$132,333
2014	\$24,270	\$134,833
2015	\$24,930	\$138,500
2016	\$25,370	\$140,944
2017	\$26,010	\$144,500
2018	\$26,230	\$145,722

2019	\$26,500	\$147,222
2020	\$27,230	\$151,278
2021	\$27,830	\$154,611
2022	\$29,210	\$162,278
2023	\$30,780	\$171,000
2024	\$31,560	\$175,333

In the past, the contribution limit has been indexed annually to reflect the change in the average industrial wage as measured by Statistics Canada. This index is typically about 1% higher than the Consumer Price Index.

Example In 2023, Jacqueline had earned income of \$53,000; she does not have any pension adjustments. For 2024, her RRSP contribution limit is \$9,540, calculated as [the *lesser* of (previous year's earned income $\times$ 18%) and RRSP contribution limit] or [the *lesser* of (\$53,000 $\times$ 18%) and \$31,560].

Example In 2023, Rebecca had earned income of \$205,000; she does not have any pension adjustments. For 2024, her RRSP contribution limit is \$31,560, calculated as [the *lesser* of (previous year's earned income $\times$ 18%) and RRSP contribution limit] or [the *lesser* of (\$205,000 $\times$ 18%) and \$31,560].

The current contribution limit is also referred to as the RRSP dollar limit (ITA 146(1)). After 2003, the RRSP dollar limit is equal to the money purchase limit of the immediately preceding year. The table details the money purchase limits and the RRSP dollar limits for recent years; click [here](#) to link to the Canada Revenue Agency Web site to view limits for previous years.

Money Purchase Limit and RRSP Contribution Limit

Year	Money Purchase Limit	RRSP Dollar Limit
1996 to 2002	\$13,500	\$13,500
2003	\$15,500	\$14,500
2004	\$16,500	\$15,500
2005	\$18,000	\$16,500
2006	\$19,000	\$18,000
2007	\$20,000	\$19,000
2008	\$21,000	\$20,000
2009	\$22,000	\$21,000
2010	\$22,450	\$22,000
2011	\$22,970	\$22,450
2012	\$23,820	\$22,970
2013	\$24,270	\$23,820
2014	\$24,930	\$24,270
2015	\$25,370	\$24,930
2016	\$26,010	\$25,370
2017	\$26,230	\$26,010

2018	\$26,500	\$26,230
2019	\$27,230	\$26,500
2020	\$27,830	\$27,230
2021	\$29,210	\$27,280
2022	\$30,780	\$29,210
2023	\$31,560	\$30,780
2024	\$32,490	\$31,560

RRSP Contribution Room

Contributions to an RRSP are deductible for the contributor for income tax purposes, up to certain limits. The amount that an individual may contribute to an RRSP in any one year is referred to as his or her contribution room.

An individual's new RRSP contribution room is his or her new contribution room arising in a current year. It is calculated as:

$$\begin{aligned}
 & \text{current contribution limit} \\
 + & \text{any pension adjustment reversals} \\
 - & \text{any pension adjustments} \\
 - & \text{any past service pension adjustments} \\
 = & \text{contribution room for current year}
 \end{aligned}$$

An individual's total RRSP contribution room is calculated as:

$$\begin{aligned}
 & \text{RRSP contribution room} \\
 + & \text{any carry-forward of contribution room from previous year} \\
 = & \text{total RRSP contribution room}
 \end{aligned}$$

Here is an illustration of the RRSP contribution room calculation.

This Year's Total RRSP Contribution Room

equals

Current Contribution Limit

(18% of last year's earned income up to this year's maximum contribution limit)

plus

Carry-forward of Contribution Limits

from
From 1991 – last year

less

(for all RPP/DPSP members)

Pension Adjustment (PA) for last year

(represents the value of retirement benefits earned in RPPs and DPSPs last year)

less

(for some RPP members)

**Past Service Pension Adjustment
(PSPA) deductible this year**

(represents the value of upgrades or additions to pension benefits in respect of past service after 1989)

plus

(for some previous RPP members)

**Pension Adjustment Reversal (PAR)
for terminations this year**

(represents a restoration of lost RRSP contribution room for RPP members who are terminated prior to retirement)

Carry Forward of Contribution Limits

Beginning in 1991, if you did not contribute all of your total contribution to an RRSP, the Income Tax Act allows you to carry forward unused contribution room. Under the carry forward rules, the balance of RRSP contribution room remaining after the deduction for that year, may be carried forward indefinitely to be used in the future calendar year(s). Therefore, you can contribute this unused portion in a later year.

This forward is particularly significant for young people because it allows them to focus on other financial priorities without reducing their ability to invest in RRSPs later on. However, contributions that have not been made do not earn investment income for retirement.

Example In April of last year, Veronica graduated from university and was fortunate enough to land a good job immediately, although her new employer does not have a pension plan. She did not work while in university so, the \$28,000 she earned last year represented her first real earnings.

If the RRSP contribution limit for this year is \$31,560, Veronica will have new RRSP contribution room of \$5,040, calculated as [the *lesser* of (earned income for previous year $\times$ 18%) and RRSP contribution limit] or [the *lesser* of (\$28,000 $\times$ 18%) and \$31,560].

Veronica has been concentrating on paying off her school debts and has little in the way of free cash to even contemplate making an RRSP contribution. So, Veronica can simply carry forward her unused RRSP contribution room of \$5,040 indefinitely and use it in some future year as her financial situation permits.

Carry Forward of RRSP Deductions

Individuals may make an eligible contribution to their RRSP and choose to carry the deduction forward to a subsequent taxation year. The contribution is applied against the RRSP contribution room of the individual in the year the contribution is made, even if he or she chooses to delay the deduction to a subsequent year.

Provided that the contribution does not exceed the contribution limit of the individual, income tax on the investment income on the undeducted contribution will still be deferred.

This can be advantageous for a taxpayer who has cash available to contribute to an RRSP during the current taxation year but, who has little or no taxable income in that year or who believes that he or she will be in a higher tax bracket in a subsequent year.

Example Darryl just contributed \$4,000 to his RRSP and his marginal tax rate (MTR) for the current taxation year is 27%. By claiming the RRSP contribution during this taxation year, Darryl will reduce his taxes in the amount of \$1,080, calculated as (MTR $\times$ RRSP contribution) or (27% $\times$ \$4,000).

However, Darryl has just received a promotion, such that he expects that his marginal tax rate in the following taxation year will be about 42%. Darryl has decided to carry his allowable deduction forward to a future taxation year. Next year, Darryl will claim the deduction and realize a tax reduction of \$1,680, calculated as (MTR $\times$ RRSP contribution) or (42% $\times$ \$4,000, effectively saving \$600 more in income tax, calculated as (tax saving at MTR of 42% - tax saving at MTR of 27%) or (\$1,680 - \$1,080).

Timing of Contributions

RRSP contributions can be made at any time of the year, although many people put it off until tax time. In order for contributions to be deductible in any particular taxation year, they must be made within 60 days of the end of that taxation year (that is, by March 1st in most years and by February 29th in leap years). Ideally, contributions should be made as early as possible, which is January 1st of each year.



Contributions of Property

Contributions to a self-directed RRSP may be in the form of property, such as stocks and bonds, rather than in cash. If property (e.g. a stock or bond) is contributed in-kind to an RRSP, the amount of the RRSP contribution for tax purposes is the fair market value of the property at the time of contribution. The registration of ownership of the property must be transferred to the trustee of the RRSP. The contributor receives a receipt for an amount equal to the fair market value of the property. This amount is treated as a contribution to the RRSP.

An in-kind transfer to an RRSP amounts to a deemed disposition based on the fair market value of the property at the time of the transfer. Any capital gains up to the point of transfer to the RRSP must be calculated and reported for tax purposes by the contributor.

However, if the deemed disposition upon the in-kind transfer of property to an RRSP results in a capital loss, the loss is simply deemed to be nil. In other words, the loss cannot be used to offset other taxable capital gains realized by the annuitant.

Given this, an in-kind transfer of property to an RRSP at a loss is generally not recommended. Instead, the property should first be disposed of for cash. Under this scenario, the capital loss that is realized can now be applied to other taxable capital gains. Next, the annuitant should simply contribute the cash proceeds of the disposition into his or her RRSP. Once inside the RRSP, the cash can be used to repurchase the identical property if so desired. The annuitant should be mindful of the superficial loss rules when repurchasing the identical property within the RRSP to ensure the capital loss remains deductible (in its most basic form, the annuitant must wait 31 calendar days from the sale date to repurchase the property).

Example Sunita owned 1,000 shares of Far Cry Inc. at a cost of \$9 per share. On February 28th of this year, the stock was trading at \$10 per share. On that day, Sunita transferred the Far Cry Inc. shares to her self-directed RRSP to meet the contribution deadline for last year.

The value of Sunita's RRSP contribution is \$10,000, calculated as $(1,000 \times \$10)$. She has realized a capital gain of \$1,000, calculated as $(\text{proceeds of disposition} - \text{ACB})$ or $(\$10,000 - \$9,000)$. Sunita must report a taxable capital gain of \$500 on her tax return for this year, calculated as $(\text{capital gain} \times \text{capital gains inclusion rate for net gains} < \$250,000)$ or $(\$1,000 \times 50\%)$. Based on the timing of the RRSP

contribution, Sunita will have a choice of claiming an RRSP deduction for the previous taxation year or for the current taxation year.

Loans for RRSP Contributions

Many Canadians borrow money every year to make their RRSP contributions. The financial institutions happily lend these individuals funds at relatively low interest rates in order to have these same funds contributed to the RRSPs that they offer. The individual expects to obtain an income tax refund as a result of the deduction for the contribution. The plan is to use the refund to pay part of the loan and then repay the balance in installments. The financial institutions are quite flexible in structuring these loans.

Should a taxpayer borrow money to make an RRSP contribution?

Prior to 1991, there was no opportunity to carry forward RRSP contribution room, so a taxpayer would lose the opportunity to contribute to an RRSP if the contribution was not made within 60 days of the year-end. There is now an indefinite carry forward.

Example It is February 28th. Jan has a 40% marginal tax rate and contribution room of \$10,000. He can borrow \$10,000 from his bank at 6% compounded monthly and will get a refund of \$4,000, calculated as $(\$10,000 \times 40\%)$.

He expects to receive his refund by May 31st, and he will apply it against his RRSP loan. He will pay the remaining \$6,000 plus interest at the rate of \$500 per month starting April 1st.

He expects to earn 8% compounded monthly or 8.30% compounded annually in his RRSP. Should he borrow the \$10,000 and make the contribution?

Assume a total interest expense of \$287.61.

The value of his RRSP on March 1st of the following year would be \$10,830, calculated by entering $DISP = 0$; $P/Yr = 1$; $xP/Yr = 1$; $I/Yr = 8.30\%$; $PV = -\$10,000$; $PMT = \$0$ and solving for FV.

Alternatively, Jan could have simply contributed \$833.33 to his RRSP each month starting on March 1st, calculated as $(RRSP \text{ contribution} \div \text{months per year})$ or $(\$10,000 \div 12)$. If he requested, the Canada Revenue Agency might permit a reduction in his monthly employee withholding taxes of \$333.33, calculated as $(\text{monthly RRSP contribution} \times MTR)$ or $(\$833.33 \times 40\%)$. His after-tax cost is \$500 per month, calculated as $(\text{monthly RRSP contribution} - \text{reduction in his monthly employee withholding taxes})$ or $(\$833.33 - \$333.33)$.

In these circumstances, the value of his RRSP would be \$10,444, calculated by entering $DISP = 0$; $P/Yr = 12$; $xP/Yr = 1$; $I/Yr = 8\%$; $PV = \$0$; $PMT = -\$833.33$; $MODE = BEGIN$ and solving for FV of an annuity due.

If Jan borrows the money, he has \$386 more in his RRSP, calculated as $(RRSP \text{ with loan} - RRSP \text{ without loan})$ or $(\$10,830 - \$10,444)$. However, it costs him \$287.61 in interest expense on the loan, that is not tax deductible. When he withdraws the funds from his RRSP, he will pay \$154 of income tax on the extra \$386, calculated as $(\text{extra in RRSP with loan} \times MTR)$ or $(\$386 \times 40\%)$.

He will have \$232, after-tax, calculated as (extra in RRSP with loan - tax on extra in RRSP with loan) or (\$386 - \$154), at retirement at a cost of \$287.61 after-tax today. For Jan, the whole exercise of borrowing to contribute to an RRSP is somewhat pointless.

Borrowing money to contribute to an RRSP made sense prior to 1991 when there was no carry forward of RRSP contribution room and it was a matter of 'use it or lose it'.

The interest expense on the loan is not tax deductible. The loan will result in the contribution arriving a little faster than by simply making monthly contributions. The extra investment income in the RRSP will not exceed the interest expense by much if at all, especially when one considers that it will be subject to tax when withdrawn.

It is preferable for a client to simply set up a regular savings program of contributing to his or her RRSP each month, rather than do the loans. A pre-authorized contribution (PAC) can be established to withdraw the funds automatically from the bank account of the client and transfer them to his or her RRSP.

Tax Implications of RRSP Contributions

Contributions to an RRSP result in an income tax deduction that saves the individual the amount of the contribution multiplied by his or her marginal tax rate. So, compared to the amount the taxpayer has outside the RRSP, there is a greater amount inside an RRSP.

To help with the concept, we can define an RRSP contribution factor equal to:

$$1 \div (1 - MTR_c)$$

where:
 MTR_c = the marginal tax rate at the time
of deduction of the contribution

This factor reflects the income tax deduction permitted for an RRSP contribution and is the multiplier as to how much more principal a taxpayer will have invested in his or her RRSP than outside his or her RRSP.

Example Veronica has a 40% marginal tax rate so, her RRSP contribution factor is 16,667, calculated as $[1 \div (1 - MTR_c)]$ or $[1 \div (1 - 40\%)]$.

Assuming she has \$1,000 of after-tax savings, she can invest the \$1,000 outside her RRSP or she can make an RRSP contribution of \$1,666.67, calculated as (after-tax savings $\times$ RRSP contribution factor) or $(\$1,000 \times 16,667)$.

Next, we want to compare the investment returns on the two alternatives. The income tax deduction means the taxpayer has more money invested in the RRSP determined by the RRSP contribution factor. So, the before-tax investment return on an RRSP is:

$i \times \text{the RRSP contribution factor}$

where:

$i = \text{the return on the assets in the RRSP}$

If Veronica can earn 8% in her RRSP, she is earning 13.333%, calculated as ($i \times \text{the RRSP contribution factor}$) or ($8\% \times 16,667$) compared to what she would earn on her money outside her RRSP.

To look at it another way, the \$1,000 outside her RRSP becomes \$1,666.67 inside her RRSP. She earns \$133.33 inside her RRSP, calculated as ($\text{RRSP contribution} \times \text{investment return}$) or ($\$1,666.67 \times 8\%$). Compared to her \$1,000 invested outside her RRSP, she is earning 13.333%, calculated as ($\text{return inside her RRSP} \div \text{capital outside her RRSP}$) or ($\$133.33 \div \$1,000$).

Over Contributions

So what happens if a taxpayer contributes more than his or her RRSP contribution room? First of all, the individual will not be able to claim a deduction for those contributions in the current taxation year. However, contributions within an RRSP continue to accumulate on a tax deferred basis, even if a deduction is not claimed. To keep taxpayers from taking advantage of this, over contributions that exceed an over-contribution limit of \$2,000 are subject to a penalty tax of 1% per month.

The cumulative excess amount subject to this penalty tax is calculated as:

excess amount = undeducted RRSP contributions made after 1990
(including current taxation year) - taxable amounts received out of an
RRSP or RRIF

- Amounts received out of an RRSP or RRIF that are included in taxable income
- accumulated RRSP contribution room if any, at the end of the current taxation year
- the over-contribution limit of \$2,000, which is applicable unless the individual is under the age of 18 at any time during the calendar year

So, the cumulative excess amount can be calculated as (the *greater* of (\$0 and (undeducted contributions - RRSP or RRIF withdrawals - accumulated RRSP contribution room - over-contribution limit))).

Example Two years ago in December, Steve's unused RRSP contribution room was \$4,000. At that time, Steve made an RRSP contribution of \$10,000. However, he did not claim the deduction in that year because he expected to be in a higher tax bracket in the following year.

As of December 31st, two years ago, Steve's cumulative excess was \$4,000, calculated as (undeducted contributions - RRSP contribution room - over-contribution limit) or ($\$10,000 - \$4,000 - \$2,000$). In

December of that year, he paid a penalty tax of \$40, calculated as (cumulative excess $\times$ penalty tax of 1%) or $(\$4,000 \times 1\%)$.

As of January 1st, of last year, Steve's new RRSP contribution room was \$5,400 and his cumulative excess was \$0, calculated as [the *greater* of (\$0 and (undeducted contributions - accumulated RRSP contribution room - over-contribution limit))] or [the *greater* of (\$0 and $(\$10,000 - (\$4,000 + \$5,400) - \$2,000)$)].

In December of last year, Steve made another contribution of \$11,000 and his cumulative excess was \$9,600, calculated as [the *greater* of (\$0 and (undeducted contributions - accumulated RRSP contribution room - over-contribution limit))] or [the *greater* of (\$0 and $((\$10,000 + \$11,000) - (\$4,000 + \$5,400) - \$2,000)$)]. For December of last year, he paid a penalty tax of \$96, calculated as (cumulative excess $\times$ penalty tax of 1%) or $(\$9,600 \times 1\%)$.

On January 1st of this year, Steve's cumulative excess will change as his new contribution room comes into effect. Each month, his cumulative excess will be calculated and assessed if over \$0.

Withdrawing Excess Contributions

If an RRSP contribution is made in excess of the over contribution limit, the taxpayer may wish to remove the excess by withdrawing it, either because he or she wishes to limit RRSP contributions to amounts that are tax deductible or because he or she wishes to avoid the penalty tax. In this case, the withdrawn funds are included in his or her taxable income for the year they are withdrawn.

However, an offsetting tax deduction is usually available, provided that:

- the contribution was never deducted on any tax return
 - the withdrawal is made in the same or following year as the excess contribution was made or in the same or following year that the taxpayer received a Notice of Assessment for the year of contribution
 - the taxpayer has not designated the withdrawal as a qualifying withdrawal, which is an amount transferred from an RRSP to have a PSPA certified and to purchase past service pension credits under a defined benefit pension plan
 - no part of the withdrawal can be attributed to an excess RPP payment that was directly transferred to an RRSP or RRIF
-
- The Advantage of Over Contributing to an RRSP
 - There has been much written on the strategies of over contributing to an RRSP. Is there really a point to making an over contribution?
 - **Example** Yoga Nasir has \$2,000 in his chequing account. If he invests it for the long term, he figures he can earn 8%, whether in his RRSP or outside his RRSP.
 - The investment income outside an RRSP is taxable as earned. The investment income on the over contribution will not be taxable until the funds are withdrawn. The over contribution of up to \$2,000 is taxable when the funds are withdrawn.
 - So, there must be a break-even point or time when the deferral of income tax on the investment income in the RRSP compensates for the taxation of the over contribution when withdrawn. There is no simple formula to calculate the break-even point. Using your financial calculator, you can calculate the future value at any time of the investment inside or outside an RRSP.

- Yoga has a marginal tax rate of 40%. The future value of the investment outside his RRSP can be calculated by entering DISP = 0, P/YR = 1, xP/YR = the number of years, I/YR = (return × (1 - MTR)) or ((8% × (1 - 40%)), PV = -\$2,000, PMT = \$0, and solving for FV.
- The future value of the investment inside his RRSP can be calculated by entering DISP = 0, P/YR = 1, xP/YR = the number of years, I/YR = 8%, PV = -\$2,000, PMT = \$0, and solving for FV and then multiplying the result by (1 - MTR) where MTR is his marginal tax rate.
- The following table includes these calculations for Yoga's investment alternatives.

Year	Outside RRSP	As an Overcontribution	Difference
1	\$2,096	$\$2,160 \times (1 - 40\%) = \$1,296$	\$800
5	2,528	$2,939 \times (1 - 40\%) = 1,763$	765
10	3,196	$4,318 \times (1 - 40\%) = 2,591$	605
15	4,041	$6,344 \times (1 - 40\%) = 3,806$	235
20	5,108	$9,322 \times (1 - 40\%) = 5,593$	(485)
25	6,457	$13,697 \times (1 - 40\%) = 8,218$	(1,761)
30	8,163	$20,125 \times (1 - 40\%) = 12,075$	(3,912)
35	10,319	$29,570 \times (1 - 40\%) = 17,742$	(7,423)
40	13,046	$43,449 \times (1 - 40\%) = 26,069$	(13,023)

- So, Yoga has to leave the over contributions for about 16 or 17 years to break even on making the over contributions.
- So, you can benefit from an over contribution, but the benefits may only begin after 15 or so years. For any specific client situation, you should be able to estimate the break-even point.
- The investment outside the RRSP has resulted in 8% of fully taxable income. If this investment results in capital appreciation, such as would result from an increase in the value of common shares or an equity mutual fund, the tax could be deferred until the gain was realized. Even then only 50% of the gain is taxable. This would produce a higher future value outside the RRSP and extend the break-even point even further.
- **Example** Yoga decided to invest in an international equity mutual fund with an expected return of 8%. He does not expect to pay any tax until he sells the investment. The following table includes the calculations for Yoga's investment alternatives. His marginal tax rate on capital gains is 20%, calculated as (MTR × capital gains inclusion rate) or (40% × 50%).

Year	Outside RRSP	As an Overcontribution	Difference
1	$\$2,160 - (160 \times 20\%) = \$2,128$	$\$2,160 \times (1 - 40\%) = \$1,296$	\$832
5	$2,939 - (939 \times 20\%) = 2,751$	$2,939 \times (1 - 40\%) = 1,763$	988
10	$4,318 - (2,318 \times 20\%) = 3,854$	$4,318 \times (1 - 40\%) = 2,591$	1,263
15	$6,344 - (4,344 \times 20\%) = 5,475$	$6,344 \times (1 - 40\%) = 3,806$	1,669

20	$9,322 - (7,322 \times 20\%) = 7,857$	$9,322 \times (1 - 40\%) = 5,593$	2,264
25	$13,697 - (11,697 \times 20\%) = 11,357$	$13,697 \times (1 - 40\%) = 8,218$	3,139
30	$20,125 - (18,125 \times 20\%) = 16,500$	$20,125 \times (1 - 40\%) = 12,075$	4,425
35	$29,570 - (27,570 \times 20\%) = 24,056$	$29,570 \times (1 - 40\%) = 17,742$	6,314
40	$43,449 - (41,449 \times 20\%) = 35,159$	$43,449 \times (1 - 40\%) = 26,069$	9,090

- So, an astute financial planner will suggest a tax deferred investment, such as an equity mutual fund, is preferable to a non-deductible RRSP over contribution.

Retiring Allowance

A retiring allowance refers to any amount received by an individual (or by his or her estate or beneficiary after his or her death):

- on or after retirement, in recognition of long service with that employer or a related employer *or*
- after termination of employment, as a severance settlement (often referred to as a termination benefit) (ITA 248(1))

An individual who receives a retiring allowance can rollover (that is, directly transfer the amount without taking it into income) a portion or all of that allowance into an RRSP, subject to a limit of:

- \$2,000 for each year or partial year of service before 1996 *and*
- an additional \$1,500 for each year or partial year of service prior to 1989 in which he or she earned no vested pension or DPSP benefits (ITA 60(j.1))

This is in addition to the normal limits for an RRSP contribution.

The calendar year is the reference used for determining the number of years of employment, not the anniversary of the hiring date of the individual.

The number of years between two dates is calculated as:

$$\text{Number of years} = \text{year}_1 - \text{year}_2 + 1$$

where year_1 represents the most recent year of those two dates and year_2 represents the earliest year of those two dates.

\$2,000 for Each Year of Service Before 1996

For the \$2,000 for each year of service before 1996, each calendar year or partial calendar year of service qualifies for the rollover.

Example Joan joined Wajax Inc. on September 1, 1984. She left her position on June 1, 2006. She has 12 years of service eligible for the \$2,000 per year rollover, calculated as (most recent year - earliest year + 1) or (1995 - 1984 + 1), even though she was employed for 11 years and 4 months before 1996.

\$1,500 for Each Year of Service Before 1989

For the \$1,500 for each year of service before 1989, each calendar year or partial calendar year in which the employee did not earn any vested benefits from an RPP or DPSP qualifies.

Example On September 1, 1986, two years after joining Wajax Inc., Joan joined the company's RPP and her benefits from that time to the time of her departure have vested.

She has two years of service eligible for the \$1,500 per year rollover, calculated as [(1988 - 1984 + 1) - (1988 - 1986 + 1)]. The only years prior to 1989 when she did not earn any vested benefits were 1984 and 1985.

For a taxpayer who receives a retiring allowance after 1996, the total eligible retiring allowance can be calculated as:

$$\begin{aligned} \text{Retiring allowance} = & \\ & [(\$2,000 \times \text{the greater of } (0 \text{ and } (1995 - \text{year}_1 + 1))) \\ & + (\$1,500 \times \text{the greater of} \\ & \quad (0 \text{ and } ((1988 - \text{year}_1 + 1) - (1988 - \text{year}_2 + 1))))] \end{aligned}$$

[(2 000 \$ x
the greater of (\$0 and (1995 - year₁ + 1))) x (\$1,500 x the greater of (\$0 and ((1988 - year₁ + 1) - (1988 - year₂ + 1)))]

where:

- year₁ = year of commencing employment
- year₂ = year in which vested RPP or DPSP benefits commence

Example Jenny has been working for the same employer since June, 1976. In June, 1978, she became a member of her employer's registered pension plan. In October of last year, Jenny's job was terminated and she was given a retiring allowance of \$50,000. She was able to rollover \$43,000 of this allowance into an RRSP, calculated as follows:

$$\begin{aligned} \text{retiring allowance} = & [(\$2,000 \times \text{the greater of } (\$0 \text{ and } (1995 - 1976 + 1))) \\ & + (\$1,500 \times \text{the greater of } (\$0 \text{ and } ((1988 - 1976 + 1) \\ & \quad - (1988 - 1978 + 1))))] \\ = & [((\$2,000 \times 20) + (\$1,500 \times (13 - 11))] \end{aligned}$$

Thus, Jenny could rollover \$43,000 directly into an RRSP. This means she only has to report \$7,000 of the retiring allowance as taxable income on her income tax return for last year, calculated as (retiring allowance - rollover) or (\$50,000 - \$43,000).

Pension Adjustments (PA)

Welcome to the lesson, Pension Adjustments (PA).

Spousal RRSPs

Welcome to the lesson, Spousal RRSPs.

Spousal RRSPs

An individual may choose to contribute to an RRSP in his or her spouse or common-law partner's name, while claiming the contribution as a deduction on his or her own tax return. In this situation, the person making the contribution is referred to as the *contributor*, the spouse or common-law partner who owns the RRSP to which the contribution was made is referred to as the *annuitant*. A spousal RRSP includes any RRSP established for the benefit of a taxpayer's spouse or common-law partner, and where any contributions have been made and deducted by the taxpayer (ITA 146(1)).



Spousal RRSPs are like other RRSPs. They can take the form of a basic or a self-directed RRSP and can hold various kinds of investments depending on the type of RRSP.

Contributions to a spousal RRSP are based on the contribution room of the contributor—not the annuitant. The personal contribution room of the annuitant and his or her tax situation are not affected by any contributions to the spousal RRSP. This means, if the annuitant of the spousal RRSP has RRSP contribution room in his or her own right (based on having their own earned income), the annuitant can also own an individual RRSP, make contributions up to his or her maximum limit and claim a corresponding RRSP deduction for tax purposes.

Couples set up spousal RRSPs to split their income at retirement and minimize their income tax liability when money is withdrawn from the plans.

Example Based on her earned income from last year, Vera can contribute \$11,500 to an RRSP this year. Her husband, Jag, worked only a few months last year after taking a sabbatical from the university so, his maximum contribution is only \$3,000.

Jag contributes the full \$3,000 to his own RRSP. Vera decides to split her contribution between her own RRSP and a spousal RRSP for Jag. She puts \$4,250 into Jag's spousal RRSP and \$7,250 into her own plan.

For tax purposes, Jag deducts \$3,000 from his income while Vera deducts \$11,500 from her income.

Spousal Contributions after Age 71

An individual is only permitted to make contributions to his or her own RRSP until the end of the year in which he or she turns 71 years of age, at which time their RRSP matures.

However, if the individual has a younger spouse or common-law partner, the individual may continue to make spousal RRSP contributions, up to the his or her RRSP limit, until the end of the year in which the spouse or common-law (that is, the annuitant under the spousal RRSP) partner reaches 71 years of age.

Contributions to a Spousal RRSP after Death

After an individual dies, his or her legal representative can make a spousal RRSP contribution on his or her behalf in the year of death or within 60 days of the end of the taxation year in which the individual's death occurs. An RRSP deduction, up to his or her RRSP deduction limit for the year of death, may be claimed on his or her final tax return

Spousal RRSP Attribution Rules

We know withdrawals from an RRSP represent taxable income. The question is in whose hands is this income taxable: the annuitant or the contributor?

Withdrawals from a spousal RRSP are attributed to the contributor as taxable income to the extent the contributor made contributions to *any* spousal RRSP in the year of withdrawal or in the two previous calendar years. Such withdrawals will be taxable income to the contributor and not the spouse or common-law partner who is the annuitant under the plan.

An RRSP contribution made within the first 60 days of a calendar year can be claimed as a deduction either in the current year or the previous year. However, since attribution rules apply to calendar years, the attribution period is calculated based on the calendar year in which a contribution is made even if the tax deduction for that contribution is claimed in a different year.

Example Mark contributed \$5,000 to a spousal RRSP for his wife Karen at the Bank of Montreal five years ago. Two years ago, Mark contributed another \$2,000 to a spousal RRSP at the Bank of Nova Scotia. Last year, Karen withdrew \$3,000 from the spousal RRSP at the Bank of Montreal. Even though these funds had been in the RRSP for five years, \$2,000 of this withdrawal was attributed back to Mark because he had made contributions of \$2,000 to another spousal RRSP within the previous three years. Thus, Mark had to include \$2,000 in his taxable income and \$1,000, calculated as (withdrawal - amount attributed to spouse) or ($\$3,000 - \$2,000$), was attributed to Karen.

A taxpayer can split income with a spouse or common-law partner provided that the taxpayer can wait at least 24 months plus one day and not make spousal RRSP contributions in the meantime.

Example On December 31st of this year, Jacques will contribute \$14,500 to a spousal RRSP under which his wife Marianne is the annuitant. Assuming Jacques does not make any further contributions to any spousal RRSP that Marianne owns and also assuming Marianne waits at least until January 1st in three years before withdrawing the funds, the withdrawal of \$14,500 will be taxed in the hands of Marianne.

However, if Marianne withdraws any portion of the contribution made by Jacques, prior to January 1st in three years, the withdrawal will be attributed to Jacques for tax purposes given that the withdrawal has taken place during the attribution period.

Contributions to a spousal RRSP do not limit the contributions that the spouse or common-law partner may make to his or her own RRSP. The spouse or common-law partner may be named as the annuitant in a spousal RRSP, as well as in his or her own RRSP.

Example Don's total RRSP contribution room for the current year is \$6,000; his wife Lynda's RRSP contribution room is \$2,000. Don has decided to contribute \$4,000 to an RRSP in his own name and use his remaining contribution room of \$2,000 to establish a spousal RRSP for Lynda.

This does not affect Lynda's ability to contribute \$2,000 to an RRSP in her own name and she has decided to do just that. If, during the next three years, Lynda decides to withdraw funds from her own RRSP, the withdrawal will be taxed in her hands. However if, during that same three-year period, she withdraws the same amount from the spousal RRSP to which Don has contributed, the withdrawal will be attributed back to Don and be included in his taxable income.

Exceptions to the Attribution Rules

Once funds are committed to a spousal RRSP, they remain spousal funds, even if they are transferred to another RRSP or from a spousal RRIF (registered retirement income fund) into an RRSP. Therefore, once the funds have been earmarked for a spousal RRSP, they will always be a spousal RRSP, regardless of the number of transfers between plans.

There are exceptions to the attribution rules. Funds withdrawn from a spousal RRSP within three years of contribution will not be attributed back to the taxpayer if, at the time of payment or deemed receipt:

- The taxpayer and his or her spouse or common-law partner were living separate and apart because of a breakdown in their relationship.
 - The taxpayer or his or her spouse or common-law partner were non-residents.
 - The payment was a commutation payment that was directly transferred, in the name of the spouse or common-law partner, to another RRSP or RRIF or to purchase an eligible annuity that cannot be commuted for at least three years.
 - The contributor has died.
-
- Spousal RRSPs as an Income Splitting Strategy
 - The use of a spousal RRSP can be an effective income-splitting strategy. It allows the spouse or common-law partner who is currently in the higher tax bracket to claim the deduction, while allocating the retirement income to the spouse or common-law partner. This can reduce the cumulative family tax liability when the funds are withdrawn from the RRSP during retirement.
 - To be deductible, the total of all amounts that an individual contributes to both his or her own RRSP and a spousal RRSP may not exceed the RRSP contribution limit of the individual.
 - The idea is to build two pools of savings that will produce two similar income streams during retirement. Under Canada's progressive tax system, the taxpayer and his or her spouse or common-law partner would likely pay less tax on the two streams of income than if all the retirement income were taxed in hands of the higher income earner.
-
- How Income Splitting Saves Taxes
 - The following is an example of how income splitting helps lower taxes during retirement.
 - **Example** Suppose George accumulates \$100,000 in his RRSP. Assume the marginal tax rate on 100,000 is 40%. If George withdraws the whole amount in a lump sum, the tax would be \$40,000, calculated as (\$100,000 x 40%).

- Suppose, instead, that George contributes to a spousal RRSP, under which his wife Leah is the annuitant, in addition to his own RRSP. Each person accumulates \$50,000. Assume the marginal tax rate on \$50,000 is 30%. If George and Leah both withdraw \$50,000 from their respective RRSPs, the cumulative tax liability would be \$30,000, calculated as $[(\$50,000 \times 30\%) \times 2]$.
- By splitting income, George and Leah save \$10,000 in tax, calculated as (tax liability based on lump sum withdrawal from George's RRSP - tax liability based on equal withdrawals from George and Leah's RRSP) or $(\$40,000 - \$30,000)$ despite still withdrawing the same \$100,000 from their RRSPs.
- *Maximizing the benefits of income splitting*
- The goal of income splitting is to build two pools of savings and, hence, retirement income streams that are similar. The wider the gap between the two streams of income, the lower the tax savings, as we see in the following example.
- **Example** Jeff and Marie want to receive a lump sum of \$100,000 before taxes from their RRSPs. What strategy is best?
- Let's assume the following:

Income Level	Marginal Tax Rates
\$35,000	30%
\$50,000	32%
\$65,000	35%
\$100,000	40%

if Marie withdraws	and Jeff withdraws	the tax would be	calculated as
\$100,000	\$0	\$40,000	$\$100,000 \times 40\%$
\$65,000	\$35,000	\$33,250	$[(\$65,000 \times 35\%) + (\$35,000 \times 30\%)]$
\$50,000	\$50,000	\$32,000	$[(\$50,000 \times 32\%) \times 2]$

- Therefore, Marie and Jeff can save the most taxes by income splitting and withdrawing equal amounts from their RRSPs.
- Home Buyers' Plan (HBP)
- Welcome to the lesson, Home Buyers' Plan (HBP).

First Home Savings Account (FHSA)

Welcome to First Home Savings Accounts. In this lesson, you will learn about the features and benefits of the First Home Savings Accounts (FHSA).

At the end of this lesson, you will be able to do the following:

- describe the nature of a FHSA

- describe the implications of making a withdrawal from the account
 - discuss tax implications of the FHSA
 - identify the common uses of a FHSA
-
- Overview
 - The first home savings account (FHSA) was introduced in 2023. It is a registered plan designed to help a first-time home buyer save for the purchase of a home on a tax-free basis (subject to certain limits).
-
- Eligibility to Open an FHSA
 - To open a first home savings account, an individual must be a resident of Canada, at least 18 years of age but, no older than age 71 by December 31st of the year. In some provinces and territories, the legal age at which an individual can enter into a legal contract-including opening an FHSA-is 19 years of age.
 - *First-time home buyer*
 - The plan holder must also meet the definition of a *first-time home buyer*. This definition is aligned with the definition of a first-time home buyer under the Home Buyers' Plan (HBP) namely: neither the plan holder nor his or her spouse lived in a qualifying home that they owned as their principal residence at any time in the current year (prior to the opening of the FHSA) or, any time in the preceding four calendar years.
 - Ownership of the property refers to ownership by one individual in the couple or both individuals jointly. Similar to the Home Buyers' Plan, an ownership interest in a rental property will not taint an individual's status as a first-time home buyer.
 - Note: the definition of a first-time home buyer for purposes of opening an FHSA differs from the definition used for qualifying withdrawals (addressed later in this lesson).

Maximum Participation Period and Closing an FHSA

The *maximum participation period* in an FHSA begins when an account is opened and ends the earlier of:

- the 15th anniversary of when the first FHSA was opened by the individual (an individual can have more than one FHSA at a given time)
- the individual turns 71 years of age
- the year following the first qualifying withdrawal from the FHSA

To avoid unintended and undesirable tax consequences, any FHSAs owned by an individual should be closed prior to the end of the maximum participation period.

Funds and investments that remain in an FHSA at the end of the maximum participation period can generally be transferred *directly*-that is, not received in cash first-into the RRSP or RRIF of the plan holder on a tax-deferred basis. Alternatively, the funds can be withdrawn in cash however, it will be considered a taxable withdrawal the amount of which must be included in the total income of the plan holder for the year.

FHSA Contributions

In general terms, annual contributions-either in cash or as a transfer from an RRSP-can be made to an FHSA to a maximum of \$8,000. The lifetime limit is \$40,000.

The maximum amount that can be contributed to an FHSA is based on the *FHSA participation room* of the plan holder. Contribution room to an FHSA does not begin until the year the account is actually opened meaning the participation room in the year an FHSA is first opened is \$8,000. This differs from a TFSA, for example, where an individual can catch up on unused contribution room dating back to 2009 even if he or she only opens the plan in the current year. Plan holders do not receive this benefit with an FHSA.

The unused participation room for an FHSA is calculated as:

- FHSA participation room for the current year *less*
- all new contributions to the FHSA *less*
- all new transfers from an RRSP to the FHSA

Information about an individual's FHSA participation room will be recorded on his or her notice of assessment or reassessment.

Carryforward

A carryforward of unused portions of the annual limit is permitted up to a maximum of \$8,000. It is important to understand that unlike other savings plans, such as an RRSP and a TFSA, where the unused contribution limit for *each* year can be carried forward, with an FHSA the maximum cumulative carryforward at any point and time can not exceed \$8,000.

The FHSA carryforward is calculated as the *lesser* of:

- \$8,000
 - the amount of FHSA participation room for the prior year that exceeds all contributions and transfers made to the FHSA in the prior year *and*
 - \$0, if the FHSA was opened in the current year
-
- Spousal or Common-Law Partner Contributions
 - The first home savings account is an individual plan; unlike an RRSP, a spousal or common-law FHSA is not an option.
 - Only the plan holder can participate *directly* in his or her own FHSA. In other words, contributions cannot be made directly to the FHSA of the plan holder's spouse or common-law partner. This said, funds can be gifted to a spouse or common-law partner for that individual to make contributions to their own plan. Importantly, once invested in the FHSA, the income earned on the gift would not be subject to the normal income attribution rules that apply to gifts to a spouse. In this sense, the FHSA mirrors the TFSA.

Tax Deductibility

Contributions to an FHSA can be deducted for tax purposes either in the year the contribution is made or, if more advantageous to do so, in a future year.

While transfers from an RRSP to an FHSA are permitted, they are not tax deductible (the plan holder would have already benefited from a tax deduction in the year the contribution was originally made to his or her RRSP or, will do so in a subsequent year).

The maximum deduction that can be claimed based on an FHSA contribution is the *lesser* of:

- (total of all annual FHSA limits for the year and each prior year - total of all FHSA deductions for each prior year) *and*
- [the greater of \$0 and (\$40,000 - total of all FHSA deductions for each prior year - all amounts transferred from an RRSP to the FHSA for the year and each prior year)]

Contributions during the first 60 days of the year

The contribution period for an FHSA is the calendar year (i.e. January 1st to December 31st).

Unlike an RRSP, contributions made to an FHSA during the first 60 days of the calendar year *cannot* be claimed for tax purposes for the previous year-they can only be claimed in the year of the contribution or carried forward and claimed in a subsequent year.

Withdrawals from an FHSA

The entire balance in an FHSA can be withdrawn on a tax-free basis towards the purchase of *one* home over the course of their lifetime. Following the purchase, the FHSA must be closed by the end of the year following the first qualifying withdrawal. The individual would not be allowed to open another FHSA in their lifetime.

The tax treatment of withdrawals from an FHSA is dependent on the purpose of the withdrawal.

Non-taxable withdrawals

A withdrawal from an FHSA is not subject to taxation if it is:

- a qualifying withdrawal
- a designated amount
- an amount otherwise included in your income

An individual can make a qualifying withdrawal from his or her FHSA in addition to a withdrawal from his or her RRSP under the Home Buyers' Plan as part of the acquisition of the same qualifying home.

Taxable withdrawals

In all other instances, a withdrawal from an FHSA is taxable and must be included as part of the total income of the plan holder in the year of the withdrawal. Withholding tax will apply to taxable withdrawals.

Qualifying Withdrawal

A qualifying withdrawal from an FHSA is one in which the plan holder meets all of the following conditions:

- submits a completed Form RC725, *Request to Make a Qualifying Withdrawal from your FHSA* to his or her FHSA issuer
- he or she is a first-time home buyer
- has a written agreement to buy or build a qualifying home with the acquisition or construction completion date of the qualifying home before October 1st of the year following the date of the withdrawal
- he or she has not acquired the qualifying home more than 30 days before making the withdrawal
- he or she is a resident of Canada from the time he or she makes their first qualifying withdrawal from an FHSA until the *earlier* of the acquisition of the qualifying home and the date of his or her death
- he or she must occupy or, intend to occupy, the qualifying home as their principal place of residence within one year after buying or building it

Where a plan holder meets the qualifying withdrawal conditions, he or she can withdraw all of the property from their FHSA-either in a single withdrawal or a series of withdrawals-on a tax-free basis.

Contributions or transfers to an FHSA are not required to remain in the plan for any specified period before they can be withdrawn as a qualifying withdrawal.

First-time home buyer

It was stated earlier that to be eligible to open an FHSA, the plan holder must meet the definition of a first-time home buyer. This definition matches the definition of a first-time home buyer under the Home Buyers' Plan.

However, for the purpose of making a qualifying withdrawal, the definition of a first-time home buyer is different. As it pertains to a qualifying withdrawal, the FHSA plan holder is a first-time home buyer if he or she did not, at any time in the current calendar year before the withdrawal (except 30 days immediately prior to the withdrawal) or at any time in the preceding four calendar years, live in a qualifying home as their principal place of residence that he or she owned either in their own name or jointly.

Transfers from an RRSP to an FHSA

Generally, a *direct* transfer of property (i.e. it is not first received in cash) can be made from an RRSP to an FHSA without any immediate tax implications provided the amount of the transfer does not exceed the unused FHSA participation room of the plan holder.

Transfers from an RRSP to an FHSA are not tax-deductible.

A transfer from an RRIF to an FHSA is not permitted.

Transfers from a spousal or common-law partner RRSP

A direct transfer from a spousal or common-law partner RRSP to an FHSA is permitted provided the annuitant of the RRSP and the plan holder of the FHSA are the same individual. Keep in mind, the annuitant-and not the contributor-is the owner of a spousal or common-law partner RRSP.

This said, a transfer from a spousal or common-law partner RRSP is not permitted if a contribution has been made to the RRSP in either the same year as the transfer or in the two previous calendar years (i.e. the attribution period for spousal plans).

Transfers from an FHSA to an RRSP or RRIF

A direct transfer of property from an FHSA to an RRSP or RRIF is permitted provided the plan holder does not have an excess FHSA amount.

Generally, the amount transferred will not impact the unused RRSP deduction room or the unused FHSA participation room of the individual.

Excess FHSA amount

If the plan holder has an excess FHSA amount at the time of the transfer, the maximum amount that can be transferred to avoid tax consequences is the total fair market value of the FHSA less the excess FHSA amount.

If the total fair market value of the FHSA is transferred (including the excess amount), the excess amount must be included as part of the total income of the plan holder for tax purposes. In addition, the excess FHSA amount would be considered a new RRSP contribution which will in turn reduce his or her unused RRSP deduction or could trigger an excess contribution if the individual did not have contribution room.

Transfers between FSAs

It is permissible for an individual to own more than one FHSAs bearing in mind all limits that apply to an FHSAs are cumulative.

It also means a transfer of property from one FHSAs to another FHSAs can be made provided the plan holder is the same person under both plans. In addition, the transfer between plans must be a direct transfer. A withdrawal of property from one FHSAs and a subsequent contribution of the same property to another FHSAs would not be considered a direct transfer but rather, a taxable withdrawal for the plan holder. Moreover, the contribution to the other FHSAs will reduce the unused FHSAs participation room for the plan holder in the year of the contribution.

Direct transfers of property between FSAs will not reduce the unused FHSAs participation room for the plan holder.

Non-residents and FSAs

In order to be eligible to open an FHSAs, the plan holder must be a resident of Canada.

If a plan holder becomes a non-resident of Canada at some point after opening an FHSAs, he or she can continue to participate in the plan with one notable exception: the individual will not be able to make a qualifying withdrawal to build or buy a qualifying home.

Among the requirements to make a qualifying withdrawal, the plan holder must be a resident of Canada as of the date of the first qualifying withdrawal until the date the qualifying home is acquired.

Taxable withdrawals made from an FHSA by a non-resident of Canada are subject to a 25% withholding tax (unless reduced by a treaty).

Death and FHSAs

Upon the death of an FHSA holder, no further contributions or transfers can be made to the plan.

The tax treatment that follows depends on the type of beneficiary designation made by the plan holder while he or she was alive (assuming one was made) and whether there is an excess FHSA amount at the time of death.

A beneficiary designation can be made either in the FHSA contract or in the will of the plan holder as follows:

- a survivor who has been designated as the successor holder and is a qualifying individual
- a survivor who has been designated as the successor holder but is not a qualifying individual
- a survivor who has been designated as a beneficiary but not as the successor holder
- a beneficiary other than a survivor

An individual who is the spouse or common-law partner of the deceased FHSA holder immediately prior to their death is a *survivor* of the deceased holder.

Survivor: Successor Holder and Qualifying Individual

A survivor (i.e. the spouse or common-law partner of the deceased FHSA holder immediately prior to their death) designated as the successor holder and who is a qualifying individual at the time of the death of the holder, will become the new holder of the FHSA immediately after the death of the holder.

As successor holder, if the survivor chooses to keep the FHSA, he or she is considered to have entered into a new qualifying arrangement in respect of the FHSA. The survivor is considered to have opened the FHSA on the date he or she became the successor holder and is subject to the normal FHSA rules.

Alternatively, if the survivor chooses not to keep the FHSA, the full balance of the FHSA can be either:

- directly transferred to the RRSP or RRIF of the survivor by the end of the exempt period *or*
- received by the survivor as a taxable distribution by the end of the exempt period

Exempt period

The exempt period is a period of time that begins on the death of an FHSA holder and ends the *earlier* of December 31st of the first calendar year following the death of the holder and when the trust ceases to exist. For example, if a holder dies on April 1, 2024, the exempt period could continue until December 31, 2025.

Survivor: Successor Holder But Not A Qualifying Individual

A survivor who was designated as the successor holder of an FHSA but, who is not a qualifying individual at the time of the death of the FHSA holder cannot become the new holder of the FHSA.

The survivor will be required to withdraw or transfer all of the property of the FHSA by the end of the exempt period either:

- as a direct transfer on a tax-deferred basis to his or her RRSP or RRIF *or*
- receive the property as a taxable distribution

A taxable distribution must be reported as part of the total income of the survivor in the year received and will be subject to a withholding tax prior to distribution.

Survivor: Designated as Beneficiary But Not As Successor Holder

A survivor designated as the beneficiary of an FHSA but, not the successor holder, cannot become the new holder of the FHSA.

For the portion of the FHSA property to which the survivor is entitled, during the exempt period, the survivor can:

- make a direct transfer to his or her FHSA, RRSP or RRIF on a tax-deferred basis
- receive a taxable distribution

A taxable distribution must be reported as part of the total income of the survivor in the year received and will be subject to a withholding tax prior to distribution.

If property remains in the FHSA at the end of the exempt period, the fair market value of the amount to which the survivor is entitled must be included as part of his or her total income.

Designated Beneficiary Other Than A Survivor

The holder of an FHSA can designate any person or qualified done (e.g. a registered charity) as a beneficiary.

A beneficiary, other than a survivor of a deceased holder, must include any amounts received from the FHSA during the exempt period as part of his or her total income in the year it is received. These amounts will be subject to withholding tax.

If there is property remaining in the FHSA at the end of the exempt period, each beneficiary is required to include in their income for the year, the proportion of the fair market value of the FHSA to which he or she is entitled.

No Designated Beneficiary

Where an FHSA holder has not designated a beneficiary either in the FHSA contract or in his or her will, the proceeds of the FHSA will be distributed to the estate of the deceased holder and is treated as income of his or her estate.

Reflection

Take a moment to reflect on this lesson and identify three main points. It could be information you can apply when serving a client, or it could be something that surprised you, or something you feel you should review.

You may want to add these points to your study notes, so that you can review them at any time.

Review

You have completed First Home Savings Account (FHSA). In this lesson, you have learned how to do the following:

- describe the nature of a FHSA
 - describe the implications of making a withdrawal from the account
 - discuss tax implications of the FHSA
 - identify the common uses of a FHSA
-
- Lifelong Learning Plan (LLP)
 - Welcome to the lesson, Lifelong Learning Plan (LLP).
-
- The Lifelong Learning Plan
 - Lifelong learning is a key factor in ensuring future employment income. However, individuals may have limited access to financial resources when the need for training arises. For many people, the most readily available source of funds is their registered retirement savings plans (RRSPs). Although saving for retirement is important, keeping or finding a job is crucial to creating retirement income.
 - The Federal Budget of February 27, 1998 introduced a new program, called the Lifelong Learning Plan (LLP), that allows for RRSP withdrawals for skills enhancement after 1998. The LLP parallels the Home Buyers' Plan in many respects, differing primarily in the withdrawal limits and maximum repayment periods.
 - Under the LLP, an eligible individual is able to make tax-free withdrawals from his or her RRSP to help finance full-time education for himself or herself or his or her spouse or common-law partner, but not for his or her children (ITA 146.02(1)). If the individual meets the disability conditions, a part-time education program is permitted. The participant does not have to include the qualifying withdrawals in his or her income, and the RRSP administrator will not withhold tax on these amounts. Like the HBP, the withdrawn amount must be repaid to the participant's RRSP in minimum annual payments over a maximum repayment period, otherwise the withdrawal becomes taxable.
 - If you need more information, you can refer to the Canada Revenue Agency publication called Lifelong Learning Plan (LLP), RC4112(E), or click [here](#) to visit the CRA Web Site.
-
- Eligibility
 - In order for RRSP withdrawals to qualify under the LLP, two different parties must meet certain eligibility requirements.
 - An LLP participant is someone who withdraws money from his or her RRSP under the LLP.
 - An LLP student is the person whose education is being financed using the LLP.
 - The LLP student can be the same person as the LLP participant, or he or she can be the spouse or common-law partner of the LLP participant. However, the LLP participant cannot fund the

education of both himself and herself and his or her spouse or common-law partner as students at the same time.

- The LLP student can never be a child of the LLP participant.
- **Example** Connie made an LLP withdrawal of \$5,000 last year to help her husband, Dennis, through school. Connie is the LLP participant, and Dennis is the LLP student. This year, Connie decided that she wanted to go back to school. However, she cannot make another LLP withdrawal with herself as the LLP student until she first repays the full amount of the LLP balance related to her withdrawal for Dennis. If Dennis has an RRSP, he could make an LLP withdrawal from his RRSP with Connie being the LLP student.

Participant Requirements

A person can be a participant in the LLP, provided that he or she is one of the following:

- the owner/annuitant of an RRSP that is not locked-in
- a Canadian resident at the time of the withdrawal
- under the age of 72 throughout the year

Student Requirements

The LLP student must enrol in a qualifying educational program at a designated educational institution, usually on a full-time basis. If the LLP student meets the disability conditions, the LLP student can enrol on a part-time basis.

A qualifying educational program is one that:

- Lasts three consecutive months or more.
- Requires students to spend 10 hours or more per week on courses or work in the program. Courses or work include lectures, practical training, laboratory work, or research time spent on a post-graduate thesis. It does not include study time.

A designated educational institution is a university, college, or other educational institution that qualifies for the purposes of the education tax credit.

Use of Funds

The funds withdrawn under the LLP can be used for any purpose. They do not have to be used specifically to fund tuition or other education-related expenses.

Example Max wants to return to school full time. He has enough money to pay for his tuition, but he is worried about being able to maintain his family's standard of living while he goes to school. He will be taking an unpaid leave of absence from his regular employment. Max can withdraw funds from his RRSP under the LLP and use that money to pay his mortgage, buy groceries, etc.

Limits and Timing of Withdrawals



As with the HBP, there are limits as to how much a participant can withdraw from his or her RRSP under the LLP, and when those withdrawals have to be made. However, the limits and timing differ somewhat from the HBP.

Annual limit

An LLP participant can withdraw a total of \$10,000 in a calendar year from any combination of his or her RRSPs. This is his or her annual LLP limit (ITA 146.02(1), eligible amount).

The amount that he or she withdraws is not limited to the actual tuition or educational expenses. If he or she withdraws more than \$10,000 in any one year, the excess will be included in his or her income for the year.

Multiple withdrawals over a number of years

An LLP participant can keep withdrawing amounts from his or her RRSPs until the earlier of:

- the commencement of his or her repayment period *and*
- January 31st of the fourth year after he or she made his or her first LLP withdrawal, as long as the LLP student continues to meet the requirements described earlier.

Example Having made the decision to return to school full-time, Gina made her first LLP withdrawal of \$4,000 in July, 2024 to cover tuition costs for the 2024/2025 academic year. Provided she continues to meet the LLP student requirements, she can make a new withdrawal each year (up to the total LLP limit described below); her last withdrawal must be made before February 2028.

Total LLP limit

The LLP participant cannot withdraw more than a total of \$20,000 each time that he or she uses the LLP (ITA 146.02(1), eligible amount). This is his or her total LLP limit.

Example Gina will be in school until December, 2028 when her program ends. She intends to make annual LLP withdrawals of \$4,000 to cover her tuition costs. This will create an LLP balance of \$16,000, calculated as (withdrawal in 2024 + withdrawal in 2025 + withdrawal in 2026 + withdrawal in 2027) or (\$4,000 + \$4,000 + \$4,000 + \$4,000).

Although, Gina's withdrawal of \$4,000 in 2027 will cover her tuition costs for her final academic year ending in 2028, if needed, Gina can also make an LLP withdrawal in calendar year 2028, provided she does so prior to January 31st of that year and provided she limits the withdrawal to a maximum of \$4,000, calculated as (LLP limit - LLP balance) or (\$20,000 - \$16,000).

Participating More than Once

There is no limit on the number of times that a taxpayer can use the LLP over his or her lifetime. Starting in the year after the year in which he or she brings his or her LLP balance to zero, the taxpayer can use the LLP again and withdraw up to \$20,000 over a new qualifying period.

LLP Balance

A participant's LLP balance at any point in time is calculated as:

- the total of all eligible withdrawals that were made from the RRSPs under the LLP *minus*
- the total of all amounts that were designated as an LLP repayment, or that were included in the participant's income because he or she failed to repay the required amounts to the RRSPs in previous years

Example Four years ago, Yanni withdrew \$10,000 from his RRSP as an LLP participant. He completed his program of study the following year and began making LLP repayments of \$1,000 per year two years ago. By the end of this year, his LLP balance will be \$7,000, calculated as (withdrawals – repayments) or [$\$10,000 - (\$1,000 \times 3)$].

Yanni anticipates returning to school in January of next year. He will not be able to make another withdrawal under the LLP, unless he first repays his LLP balance in full, even though he never exceeded the total LLP limit of \$20,000.

Timing of Withdrawals

If the LLP student is not already enrolled when the LLP participant makes the withdrawal, the LLP student must enrol in a qualifying educational program that starts before March of the year following the LLP withdrawal.

Example Sally withdrew \$2,000 from her RRSP under the LLP on December 30th, last year, on behalf of her husband, Rick, who will be the LLP student. Rick's deadline for enrolment in a qualifying program of study is February 28th of this year.

If the LLP student decides not to enrol in the educational program, or to enrol only on a part-time basis without meeting the disability conditions, the LLP participant will have to cancel his or her LLP withdrawals.

Example Rick had planned to start school in January of this year, but he found out that the current offering of the course was full, and he would not be able to enroll until September. Sally will have to cancel her withdrawals.

A taxpayer can only withdraw funds from his or her RRSP under the LLP without affecting his or her RRSP deduction limits if the funds were contributed to the RRSP at least 90 days before the withdrawal. The normal RRSP contribution limits apply for the rest of the year after the withdrawal.

Repayment Terms

The repayment terms for the LLP are similar to those for the HBP, but the timing and repayment period differs slightly.

The participant in an LLP must eventually repay the withdrawals to his or her RRSPs. The minimum repayment schedule allows the participant to spread the repayments over a series of equal annual installments made over a period of no longer than 10 years (ITA 146.02(3), (4)).

The first repayment year is the *earlier* of the following:

- the fifth year following the year of the first withdrawal *and*
- the second consecutive year in which the participant is not the qualifying student for at least three months each year (ITA 146.02(3))

A payment is considered to apply to a scheduled repayment year if it is made during the year or within 60 days after the year-end.

Example Marsha lost her job in October, 2022. In January, 2023, she commenced an eighteen-month, office-management course. She withdrew \$10,000 from her RRSP in 2023 and \$4,000 in 2024 to help finance her studies and to meet her living expenses. She was a qualifying student for all of 2023 and for six months in 2024. She obtained a job upon her graduation in July, 2024.

Marsha's first repayment year for purposes of the LLP will be 2026, calculated as the *earlier* of the following dates:

- 2028, which is the 5th year that follows the year of her first withdrawal, calculated as (2023 + 5) *and*
- 2026, which is the second consecutive year in which she was not a qualifying student for at least three months in the year

Provided Marsha makes an RRSP contribution no later than the first 60 days of 2027, she will still be able to designate it as an LLP repayment for 2026.

Marsha must repay \$1,400, calculated as (LLP withdrawals ÷ maximum # of years for repayment) or $[(\$10,000 + \$4,000) \div 10]$. She must also repay \$1,400 for each of the following nine years.

If, in any year, the taxpayer decides to pay only part of the required amount, the amount that is not repaid will be included in his or her income for the year and, consequently, will be subject to income tax.

Example If Marsha only repays \$550 by the first 60 days of 2027, she will have to include \$850 in her income for 2026, calculated as $(\$1,400 - \$550)$.

Designating an RRSP Contribution as a Repayment

Once the contribution is made to his or her RRSP, the taxpayer can designate all or part of the contribution as a repayment by completing Schedule 7, RRSP Unused Contributions, Transfers and HBP or LLP Activities, and filing it with his or her return for the year of the required repayment. The taxpayer must file this form with his or her return even if he or she would not otherwise have to file a tax return for the year.

Making Repayments Prior to First Required Repayment

As with the HBP, if the LLP participant contributes to his or her RRSP and designates it as a repayment under the LLP at a time earlier than the first repayment period, that repayment will reduce his or her first required repayment.

Accelerating Payments

As with the HBP, a participant in the LLP may choose to accelerate the repayments by repaying more than the scheduled annual minimum repayment in any year. This will result in a lower LLP balance and lower minimum annual repayments for the remainder of the payback period.

In this case, the new minimum annual repayment will be calculated as (LLP balance at the end of the year ÷ number of repayment years remaining according to the original schedule).

When Repayments must be made in less than 10 Years

Under the LLP, repayments must be made in less than 10 years if the participant:

- turns 72 years of age
- becomes a non-resident
- dies

The rules here parallel those described earlier for the HBP.

Successful Participation in the LLP

In order for the LLP participant to be permitted to repay the LLP withdrawals over a 10-year period, the LLP student usually has to either:

- complete the program
- continue to be enrolled in the educational program at the end of March of the year following the LLP withdrawal

Cancelling Participation

If an LLP fails to meet the conditions for successful participation in the LLP, he or she must either include the LLP withdrawal in his or her taxable income, or cancel his or her LLP withdrawal.

An LLP participant can cancel his or her LLP withdrawal by paying it back to an RRSP if one of the following situations applies:

- the LLP student was not enrolled in the educational program when the participant made the withdrawal, and does not enrol in the educational program
- the LLP student leaves the program before April of the year following the withdrawal, and 75% or more of the student's tuition is refundable

The participant cannot make a cancellation payment if the withdrawal did not meet the LLP rules at the time that he or she made the withdrawal.

He or she can make the payment to any of his or her RRSPs with any issuer, or he or she can open a new RRSP. However, he or she cannot make a cancellation payment to the RRSP of his or her spouse or common-law partner.

When he or she makes a cancellation payment to his or her RRSP, the RRSP issuer will give him or her a receipt. He or she must complete a cancellation form and mail that form, together with the receipt, to CRA by December 31st of the year following the year in which he or she made the withdrawal.

Example On May 1st of last year, Matthew, a Canadian resident, applied to three Canadian universities as a full-time student. Matthew received a written offer to enroll from one of the universities on July 10th of last year. On July 13th of last year, he made an LLP withdrawal of \$10,000.

Because Matthew withdrew the funds last year, he would have to enroll in the program before March 1st of this year. If he failed to do so, he would have to cancel his LLP withdrawal by paying back the \$10,000 to his RRSP by December 31st of this year. Any amounts that he failed to repay would be included in his income for last year.

Comparison of LLP and HBP

Both the LLP and the HBP allow the taxpayer to make eligible withdrawals from his or her RRSP without having those amounts included in his or her taxable income or having tax withheld by the RRSP issuer. The plans are very similar in structure, but the timing and limits differ, as summarized in this table.

Comparing the Lifelong Learning Plan and the Home Buyers' Plan

	Home Buyers' Plan	Lifelong Learning Plan
Purpose of withdrawals	to purchase a home for self, spouse, common-law partner, or disabled relative	to fund education expenses for self, spouse, or common-law partner
Annual limits	same as total limit - \$35,000	\$10,000
Total limits	\$35,000	\$20,000
Timing of multiple withdrawals	all withdrawals must be made by January 31st of the year following the first withdrawal	all withdrawals must be made by January 31st of the fourth year after the first LLP withdrawal
Timing of withdrawals in relation to expense	HBP participant must buy or build a qualifying home before October 1st of the year after the year of the withdrawal	LLP student must enrol in a qualifying educational program that starts before March of the year following the LLP withdrawal
First Repayment Year ¹	second calendar year following the calendar year in which the withdrawal is made	the earlier of the following: - the fifth year following the year of the first withdrawal; and - the second consecutive year in which the participant is not a qualifying student for at least three months each year
Repayment Period	15 years maximum	10 years maximum
Minimum Annual Repayment (assuming no accelerated payments)	¹ / ₁₅ of total withdrawals under the plan	¹ / ₁₀ of total withdrawals under the plan

¹ Under both programs, an RRSP contribution made within 60 days after the end of a scheduled repayment year can be designated as a repayment for that year.

Tax-Free Savings Accounts (TFSAs)

Welcome to the lesson, Tax-Free Savings Accounts (TFSAs).

Overview and Eligibility

The Tax-Free Savings Account came into effect in 2009. It has been received with great fanfare and has appeal to all Canadians regardless of their financial situation or their stage in life. The TFSA has been called the most significant concession by the government to Canadians since the introduction of the RRSP in 1957.

Eligibility

The plan enables a resident of Canada who has attained age 18 and who has a valid social insurance number to set aside money in a tax-free account. There is no maximum age by which the TFSA must be collapsed. The funds can remain in the account throughout the life of the account holder or can be withdrawn and used for any purpose at any time.

The TFSA can only be registered in an individual name (i.e. joint accounts and spousal accounts are not an option). Subject to provincial legislation, the holder of the account can designate a beneficiary to receive the property in the plan following his or her death. There are no limits as to the number of TFSAs an individual can own however, his or her cumulative contributions to all TFSAs cannot exceed the stipulated annual contribution limit.

Contributions and Eligible Investments

Unlike an RRSP, the maximum annual contribution that can be made to a TFSA is not tied to an individual's earned income but rather, it is an indexed amount called the TFSA *dollar limit*.

For purposes of the TFSA, indexing of the dollar limit is rounded to the nearest \$500.

Annual TFSA Limits

Year	Annual TFSA Limit
2009 to 2012	\$5,000
2013 to 2014	\$5,500
2015	\$10,000
2016 to 2018	\$5,500

2019 to 2022	\$6,000
2023	\$6,500
2024	\$7,000

TFSA contribution room accumulates each year for individuals who are 18 years of age and older and who are Canadian residents. Similar to an RRSP, unused contribution room for a given year is not lost but rather, is carried forward to the following year. This enables an individual who may not have sufficient funds in any one year to maximize his or her contribution, to still make use of the unused room in a future year.

The TFSA actually goes one step further than an RRSP: eligible withdrawals from a TFSA in a given year are added to the contribution room at the beginning of the following year. In effect, an individual does not lose his or her contribution room and following an eligible withdrawal, he or she can in fact restore room that has already been previously used.

A significant difference between an RRSP and a TFSA is that contributions to a TFSA are not deductible for tax purposes. In the same vein, the interest paid on money borrowed to make a TFSA contribution is not tax deductible (this is in keeping with the treatment of funds borrowed to make RRSP contributions).

Eligible investments

Eligible investments for a TFSA mirror the qualified investments permitted in an RRSP, RRIF and RESP. This includes guaranteed investment certificates (GICs), mutual funds, bonds and securities listed on a designated stock exchange.

Not unlike a regular RRSP and a self-directed RRSP, a conventional TFSA is meant to hold basic investments such as a GIC; a self-directed TFSA will be required in order to hold investments such as shares of a publicly listed company.

Foreign investments are converted to Canadian dollars for purposes of reporting to the CRA which means, foreign contributions cannot exceed the maximum limit in *Canadian* dollars.

Calculating Contribution Room

TFSA contribution room is calculated as:

- the TFSA dollar limit for the year (i.e. currently \$7,000) *plus*
- unused contribution room from previous years *plus*
- eligible withdrawals (i.e. excludes qualifying transfers) made from the TFSA in the previous year

Example In January of this year, Lucien invested \$4,000 in a TFSA. In September, he withdraws \$3,500 from the account to purchase a home theatre system. Lucien has \$8,000 in unused contribution room prior to the current year. Next year, Lucien will have TFSA contribution room in the amount of \$21,500 calculated as (TFSA dollar limit for next year + unused contribution room from previous years + eligible withdrawals from previous year) or [$\$7,000 + ((\$8,000 + (\$7,000 - \$4,000)) + \$3,500)$].

Implications of overcontributions

An individual's annual contribution room is reported on his or her *Notice of Assessment* issued by the CRA. An overcontribution will result in a penalty tax calculated monthly and based on 1% of the highest excess amount each month the situation applies.

Contributions In-kind

Generally, when an individual makes a contribution to a TFSA it will be in the form of cash. However, as with other accounts, it is also possible to make a contribution of property to a TFSA *in-kind*.

Example Last month, Melissa purchased 1,000 common shares of Armor & Sword Inc. in her non-registered investment account. Melissa likes the prospects for Armor & Sword so, she does not want to sell her shares. At the same time, she would like to make a contribution to her TFSA however, she does not have any funds available to do so. If Melissa establishes a self-directed TFSA, she can make an in-kind contribution of her Armor & Sword shares such that going forward, it will be held inside the TFSA.

Tax implications of an in-kind contribution

When an in-kind contribution is made to a TFSA, there will be a deemed disposition of the property based on its fair market value at the time of the transfer. If the deemed disposition results in a capital gain, the taxpayer must report the taxable portion of the gain as part of his or her total income for the year where it will be subject to tax at his or her marginal tax rate. Of course, once the property has been transferred into the TFSA, any future growth will not be subject to taxation.

Example When Melissa purchased her Armor & Sword shares, she did so at a price of \$25.00 per share; she also paid a \$29 commission on the transaction. At the time Melissa transferred the shares to her TFSA, the shares were trading at \$36.75. On her income tax return for this year, Melissa must report a taxable capital gain in the amount of \$5,860.50 calculated as [(deemed proceeds of disposition at time of transfer – (ACB: purchase price of shares + eligible acquisition costs)) x capital gains inclusion rate] or [(((\$36.75 x 1,000) – ((\$25 x 1,000) + \$29)) x 50%].

Normally, if a taxpayer realizes a capital loss on the disposition of capital property, he or she can use 50% of that capital loss (i.e. the *allowable* capital loss) to offset other taxable capital gains in the year if net gains is < \$250,000. Any remaining amount may be used to offset taxable capital gains in the three previous years or in a future year. However, where an in-kind contribution to a TFSA (or an RRSP) results in a deemed disposition at a loss, the loss is simply deemed to be nil. Phrased another way, in this situation, the loss cannot be used to offset other taxable capital gains.

Example Assume at the time Melissa transferred her Armor & Sword shares to her TFSA, the shares were trading at only \$18.50. The deemed disposition would trigger an allowable capital loss of \$3,264.50 calculated as [(deemed proceeds of disposition at time of transfer – (ACB: purchase price of shares + eligible acquisition costs)) x capital gains inclusion rate if net gains is < \$250,000] or [(((\$18.50 x 1,000) – ((\$25 x 1,000) + \$29)) x 50%]. However, for tax purposes Melissa's loss is deemed to be nil and consequently, she will not be able to use it to offset other taxable capital gains she may have.

Contributions for a Spouse or Common-law Partner

Normally, gifts of money or transfers of property between a spouse or common-law partner could carry with it tax implications to the transferor based on the *rules of attribution*. This is always an important consideration for planning purposes and when making recommendations to clients.